4491-X

VITA/TCE Training Supplement

Volunteer Income Tax Assistance (VITA) / Tax Counseling for the Elderly (TCE)

2021 RETURNS



Link & Learn Taxes

Take your VITA/TCE training online at **www.irs.gov** (keyword: Link & Learn Taxes). Link to the Practice Lab to gain experience using tax software and take the certification test online, with immediate scoring and feedback.

Publication 4491-X (Rev. 1-2022) Catalog Number 52568R Department of the Treasury **Internal Revenue Service** www.irs.gov

How to Get Technical Updates?

Updates to the volunteer training materials will be contained in Publication 4491-X, VITA/TCE Training Supplement. The most recent version can be downloaded at: **https://www.irs.gov/pub/irs-pdf/p4491x.pdf**

Volunteer Standards of Conduct

VITA/TCE Programs

The mission of the VITA/TCE return preparation programs is to assist eligible taxpayers in satisfying their tax responsibilities by providing free tax return preparation. To establish the greatest degree of public trust, volunteers are required to maintain the highest standards of ethical conduct and provide quality service.

Annually, all VITA/TCE volunteers (whether paid or unpaid) must pass the Volunteer Standards of Conduct (VSC) certification test and agree that they will adhere to the VSC by signing and dating Form 13615, Volunteer Standards of Conduct Agreement, prior to volunteering at a VITA/TCE site. In addition, return preparers, quality reviewers, coordinators, and tax law instructors must certify in Intake/Interview and Quality Review. Volunteers who answer tax law questions, instruct tax law classes, prepare or correct tax returns, or conduct quality reviews of completed returns must also certify in tax law prior to signing the form. Form 13615 is not valid until the sponsoring partner's approving official (coordinator, instructor, administrator, etc.) or IRS contact confirms the volunteer's identity with a government-issued photo identification (ID) and signs and dates the form.

As a volunteer in the VITA/TCE Programs, you must adhere to the following Volunteer Standards of Conduct:

VSC #1 - Follow the Quality Site Requirements (QSR)

VSC #2 - Not accept payment, solicit donations, or accept refund payments for federal or state tax return preparation from customer

VSC #3 - Not solicit business from taxpayers you assist or use the information you gained about them for any direct or indirect personal benefit for you or any other specific individual.

VSC #4 - Not knowingly prepare false returns.

VSC #5 - Not engage in criminal, infamous, dishonest, notoriously disgraceful conduct, or any other conduct deemed to have a negative effect on the VITA/TCE Programs.

VSC #6 - Treat all taxpayers in a professional, courteous, and respectful manner.

Failure to comply with these standards could result in, but is not limited to, the following:

- Your removal from all VITA/TCE Programs;
- Inclusion in the IRS Volunteer Registry to bar future VITA/TCE activity indefinitely;
- Deactivation of your sponsoring partner's site VITA/TCE EFIN (electronic filing ID number);
- Removal of all IRS products, supplies, loaned equipment, and taxpayer information from your site;
- Termination of your sponsoring organization's partnership with the IRS;
- Termination of grant funds from the IRS to your sponsoring partner; and
- Referral of your conduct for potential TIGTA and criminal investigations.

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Confidentiality Statement:
All tax information you receive from taxpayers in your volunteer capacity is strictly confidential and should not, under any circumstances, be disclosed to unauthorized individuals.

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Introduction

This supplement contains changes, revisions, and additions to the October 2021 versions of the VITA/TCE training publications.

These changes impact all of the VITA/TCE courses. VITA/TCE tax preparers must review this supplement before assisting taxpayers with tax law questions or preparing their returns. Quality reviewers must also review this document before performing quality reviews.

Changes to the Training and Site Publications

The following changes have been made to the listed publications. You may:

1. Use this list to make pen-and-ink changes to your printed training publications.
2. Print out the corrected pages that follow this list and replace the erroneous pages in your printed training publications. On the reverse side of each revised page is the continuing page.
3. Download the revised training materials with a January 2022 revision date from **https://www.irs.gov/forms-instructions**.

2021 Publication 4012, VITA/TCE Resource Guide

Page Number	Changes
	Scope of Service
5	**F(orm) / S(chedule) #** F 1040, **Line/Box #**, 4a, 4b, 5a, 5b, under **Scope Limitations**: Insert a line after "See F 1099-R for limitations" and add: **Not in Scope for:**
6	No changes.
	Tab B - Starting a Return and Filing Status
B-7	In the text box, replace the first sentence with: Uncheck the boxes for the items that you do not want to pull forward.
B-8	No changes.
	Tab D - Income
D-17	No changes.
D-18	In the first sentence of the first **Note**:, remove: to offset their federal self-employment tax for any taxable year
D-25	In the last text box, at the end of the sentence, add: Enter the code W amount as a positive number.
D-26	No changes.
D-41	**Box 7 Distribution Codes, Code H – Direct rollover of a designated Roth account distribution to a Roth IRA**, under **Explanations**, remove: Place check mark in box IRA/SEP/SIMPLE.
D-42	No changes.
D-59	In the text box for **Household Employee Income**, change $2,200 to: $2,300.
D-60	No changes.
	Tab E - Adjustments
E-1	Replace the entire **Note:** with: The deduction for charitable contributions by taxpayers who do not itemize was modified by the Taxpayer Certainty and Disaster Tax Relief Act of 2020. For tax year 2021, married couples filing a joint return may deduct cash contributions up to $600 (all other filers are limited to $300). Cash contributions include those made by check, credit card or debit card as well as amounts incurred by an individual for unreimbursed out-of-pocket expenses in connection with the individual's volunteer services to a qualifying charitable organization. Cash contributions don't include the value of volunteer services, securities, household items or other property. Additionally, the deduction does not reduce adjusted gross income.
E-2	No changes.

Page Number	Changes
E-7	No changes.
E-8	Under the heading **Qualifying Medical Expenses**, at the end of the first paragraph, add: The cost of home testing for COVID-19 is also an eligible medical expense.
E-11	Under the **Student Loan Interest Deduction at a Glance** chart, at the end of the first paragraph, add: For payments made after March 27, 2020, and before January 1, 2026, do not deduct as interest on a student loan any interest paid by your employer under an educational assistance program.
E-12	No changes.
	Tab F - Deductions
F-1	Replace the entire second **Note**: in the **Persons Not Eligible for the Standard Deduction** chart with: The deduction for charitable contributions by taxpayers who do not itemize was modified by the Taxpayer Certainty and Disaster Tax Relief Act of 2020. For tax year 2021, married couples filing a joint return may deduct cash contributions up to $600 (all other filers are limited to $300). Cash contributions include those made by check, credit card or debit card as well as amounts incurred by an individual for unreimbursed out-of-pocket expenses in connection with the individual's volunteer services to a qualifying charitable organization. Cash contributions don't include the value of volunteer services, securities, household items or other property. Additionally, the deduction does not reduce adjusted gross income.
F-2	No changes.
F-3	No changes.
F-4	Under **Note 3**:, add: **Note 4**: A Homeowner Assistance Fund (HAF) payment is a qualified disaster relief payment and is not included in the homeowner's gross income. Eligible homeowners who received a Homeowner Assistance Fund (HAF) payment may use a safe harbor to calculate the homeowner's itemized deduction for qualified mortgage interest expenses and/or qualified real property tax expenses, as applicable. See Revenue Procedure 2021-47 for details.
F-5	In the **TIP**, at the end of the sentence, add: The cost of home testing for COVID-19 is also an eligible medical expense.
F-6	No changes.
F-9	No changes.
F-10	In the first **Note:**, fourth sentence, remove: (including miles (14 cents per mile) driven in service to a charity) Replace the **NOTE:** with: The deduction for charitable contributions by taxpayers who do not itemize was modified by the Taxpayer Certainty and Disaster Tax Relief Act of 2020. For tax year 2021, married couples filing a joint return may deduct cash contributions up to $600 (all other filers are limited to $300). Cash contributions include those made by check, credit card or debit card as well as amounts incurred by an individual for unreimbursed out-of-pocket expenses in connection with the individual's volunteer services to a qualifying charitable organization. Cash contributions don't include the value of volunteer services, securities, household items or other property. Additionally, the deduction does not reduce adjusted gross income.

Page Number	Changes
	Tab G - Nonrefundable Credits
G-13	On **F2441 – Child Care Credit – Page 2 screenshot**, in gray text box, remove the third bullet: • If the taxpayer is a surviving spouse and did not Remarry, add $8,000.00 ($16,000.00 is there is more than one qualify child).
G-14	On **Form 2441 – Credit for Child and Dependent Care Expenses screenshot**, add a new gray text box with an arrow pointing to: Additional income for Spouse for purposes of this credit In the new gray text box add: If the taxpayer is a surviving spouse and did not remarry, add $8,000.00 ($16,000.00 if there is more than one qualifying child).
G-15	No changes.
G-16	In the **Note**:, change 2017 to: 2018
	Tab H - Other Taxes, Payments and Refundable Credits
H-9	Under heading **Credits for Sick Leave and Family Leave for Certain Self-Employed Individuals**, in the first sentence of the first paragraph, remove: to offset their self-employment tax for any taxable year
H-10	No changes.
	Tab K - Finishing the Return
K-1	Add a Caution at the top of the page: **Caution**: TaxSlayer made significant changes to the e-file section of the application after this publication was printed. See the VITA/TCE Blog for explanation and illustration of the changes that replace pages K-1 through K-5.
K-2	No changes.
	Tab M - Other Returns
M-5	Under the heading **Getting Started**:, in the first bullet, change 3 to: 5
M-6	No changes.
	Tab R - Information for Volunteers
Inside Back Cover	No changes.
Back Cover	In the left column, under **Prior Year Return Access**, change 3 to: 5

The corrected pages follow. On the reverse side of each revised page is the continuing page.

Scope of Service

When using the list, please note that column 3 (In Scope?) does not stand alone. Additional information contained in columns 4 and 5 (Scope Limitations and Certification Levels) may include topics or certification levels that affect whether volunteers may or may not prepare the return under the provisions of the Volunteer Protection Act.

If no certification level is listed, the topic is in scope for all certification levels.

Many forms and schedules that are out of scope are included as reference. If a form or schedule is not listed, it is out of scope because no training has been provided. In addition, if a volunteer has not been trained on an in-scope tax law topic, that topic is out of scope for that volunteer.

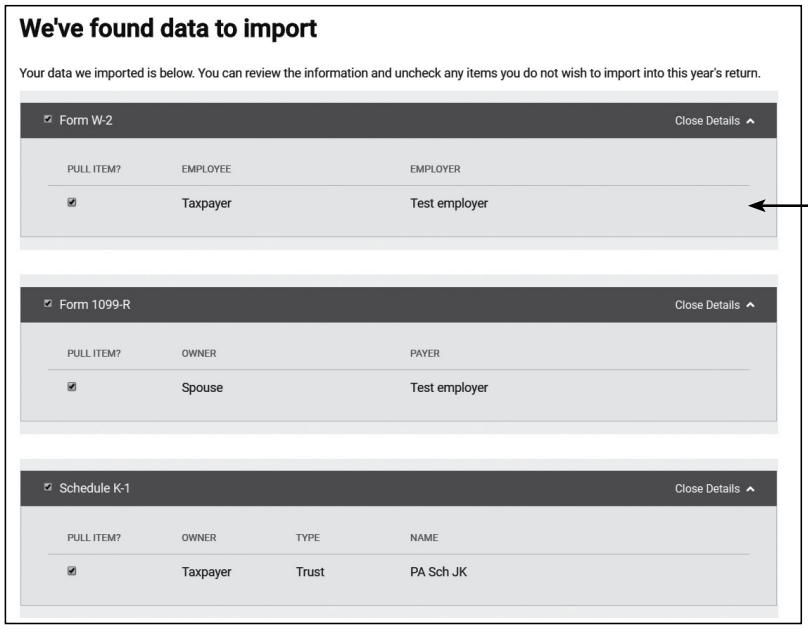
F(orm) S(chedule) #	Line / Box #	In Scope? Y / N	Scope Limitations	Certification Levels
F 1040	Virtual currency question	Y	In scope if taxpayers can check the No box. Taxpayers check No if they held no virtual currency for the tax year or if the taxpayer's only transactions involving virtual currency during the tax year were purchases of virtual currency with real currency.	
F 1040	1	Yes	Wages, salaries, tips, etc.	Advanced certification required for unreported tip income.
F 1040	2a, b	Yes	Tax-exempt and taxable interest See F 1099-INT for limitations	
F 1040	3a, b	Yes	Qualified and Ordinary dividends See F 1099-DIV for limitations	
F 1040	4a, 4b, 5a, 5b	Yes	IRAs, pensions and annuities See F 1099-R for limitations **Not in scope for:** • Foreign retirement arrangements that may need special reporting on FINCEN 114 or F 8938	Basic certification if taxable amount is determined. Advanced certification required if taxable amount is **NOT** determined.
F 1040	6a, b	Yes	Social Security benefits **Not in scope for:** • Foreign social security from Canada or Germany that is treated as U.S. Social Security	
F 1040	7	Yes	Capital gain or loss. See F 8949 limitations	Advanced certification required.
F 1040	12	Yes	Standard deduction or Itemized deductions See F 1040 Schedule A limitations	Advanced certification required for itemized deductions.
F 1040	12b	Yes	Charitable contributions if you take the standard deduction.	
F 1040	13	Yes	Qualified Business Income deduction **In scope for:** • The 20% deduction for sole proprietors and taxpayers with qualifying REIT dividends • Form 8995 **Not in scope for:** • Taxable income over $164,900 ($329,800 if MFJ; $164,925 MFS) • Publicly traded partnership income • Form 8995-A	
F 1040	16	Yes	Tax See Schedule 2 for limitations	
F 1040	19	Yes	Nonrefundable child tax credit or credit for other dependents	
F 1040	23	Yes	Other taxes See limitations on Schedule 2	
F 1040	25	Yes	Federal income tax withheld from Forms W-2, 1099, and other forms	
F 1040	26	Yes	Estimated tax payments and amount applied from prior year return	
F 1040	27, 28, 29, 30	Yes	Earned income credit, Refundable child tax credit, American opportunity credit, Recovery rebate credit See Schedule 3 for limitations	
F 1040	35 a,b,c,d	Yes	Direct deposit of refund See also F 8888	
F 1040	36	Yes	Refund applied to estimated tax	
F 1040	37	Yes	Amount you owe	
F 1040	38	No	Estimated tax penalty	
F 1040-ES		Yes	Estimated Tax for Individuals	

F(orm) S(chedule) #	Line / Box #	In Scope? Y / N	Scope Limitations	Certification Levels
F 1040-NR		Yes	U.S. Nonresident Alien Income Tax Return **In scope (with Foreign Student certification only) for:** • Students on F, J, M, or Q Visa • Teacher or trainee on J Visa **Not in scope for:** • Individuals having a dual status for the tax year • Nonresident aliens who do not meet the green card or substantial presence test and are not married to a U.S. citizen or resident alien	**Foreign Student certification required**
F 1040-PR		Yes	Self-Employment Tax Return – Puerto Rico (in Spanish)	**Puerto Rico certification required**
F 1040-SP		Yes	Declaracion de Impuestos de los Estados Unidos Sobre los Ingresos Personales See limitations for F 1040	
F 1040-SR		Yes	U.S. Income Tax Return for Seniors See limitations for F 1040	
F 1040-SS		Yes	U.S. Self-Employment Tax Return (Including the Refundable Child Tax Credit for Bona Fide Residents of Puerto Rico)	**Puerto Rico certification required**
F 1040-X		Yes	Amended U.S. Individual Income Tax Return **Not in scope for:** • Original return was out of scope and is not brought into scope by the amendment • Taxpayers who may qualify for an exception to the three-year time limit for filing an amended return except for applying for standard refund of tax on military disability payments	Advanced certification required
F W-2		Yes	Wage and Tax Statement See F 8615 limitations for children with unearned income **Not in scope for:** • Box 12 codes: - Q **(Military certification required. Active duty military taxpayer returns only)** - R, T - FF if premium tax credits are involved - W **(Advanced certification required)** • Ministers • Other members of the clergy who present issues such as: parsonage/housing allowance, whether earnings are covered under FICA or Self-Employed Contributions Act (SECA) or rules for determining exemption from coverage	All certification levels **International certification required** for foreign employer compensation
F W-2G		Yes	Certain Gambling Winnings **Not in scope for:** • Professional gamblers who use Schedule C	
F W-7		Yes	Application for IRS Individual Taxpayer Identification Number	
S 1	1	Yes	Taxable refunds, credits or offsets of state or local income taxes **Not in scope for:** • Refund for other than previous tax year	
S 1	2a, b	Yes	Alimony received, Date of original divorce or separation agreement **Not in scope for:** • Pre-1985 divorces	
S 1	3	Yes	Business income or loss See Schedule C limitations	Advanced certification required
S 1	4	No	Other gains or (losses)	
S 1	5	Yes	Rental real estate, royalties, partnerships, S corporations, trusts, etc. See Schedule E limitations	**Military certification required** active duty only
S 1	6	No	Farm income or (loss)	
S 1	7	Yes	Unemployment compensation	
S 1	8a–z	Yes	Other income See F 1099-MISC, F 1099-PATR, F 1099-Q, F 1099-QA, F 1099-SA, F 982 and F 2555 for limitations **In scope for:** • Cancellation of nonbusiness credit card debt • Discharge of qualified principal residence indebtedness (if extended) **Not in scope for:** • Cancellation of other debt income • Rental, hobby or other income when “not for profit” • Net operating loss deduction	Advanced certification required for discharge of principal residence indebtedness **International certification required** for foreign earned income exclusion

Starting a New Return (continued)

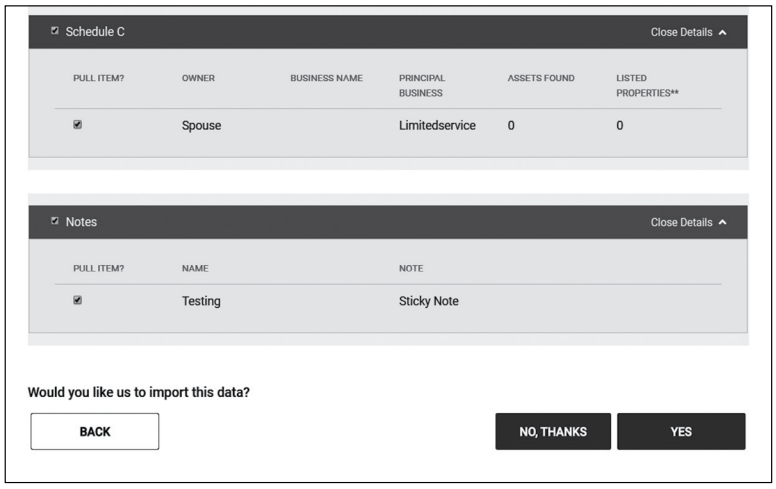
Pulling Prior Year Data

If prior year data is found for this SSN, TaxSlayer Pro displays the following:



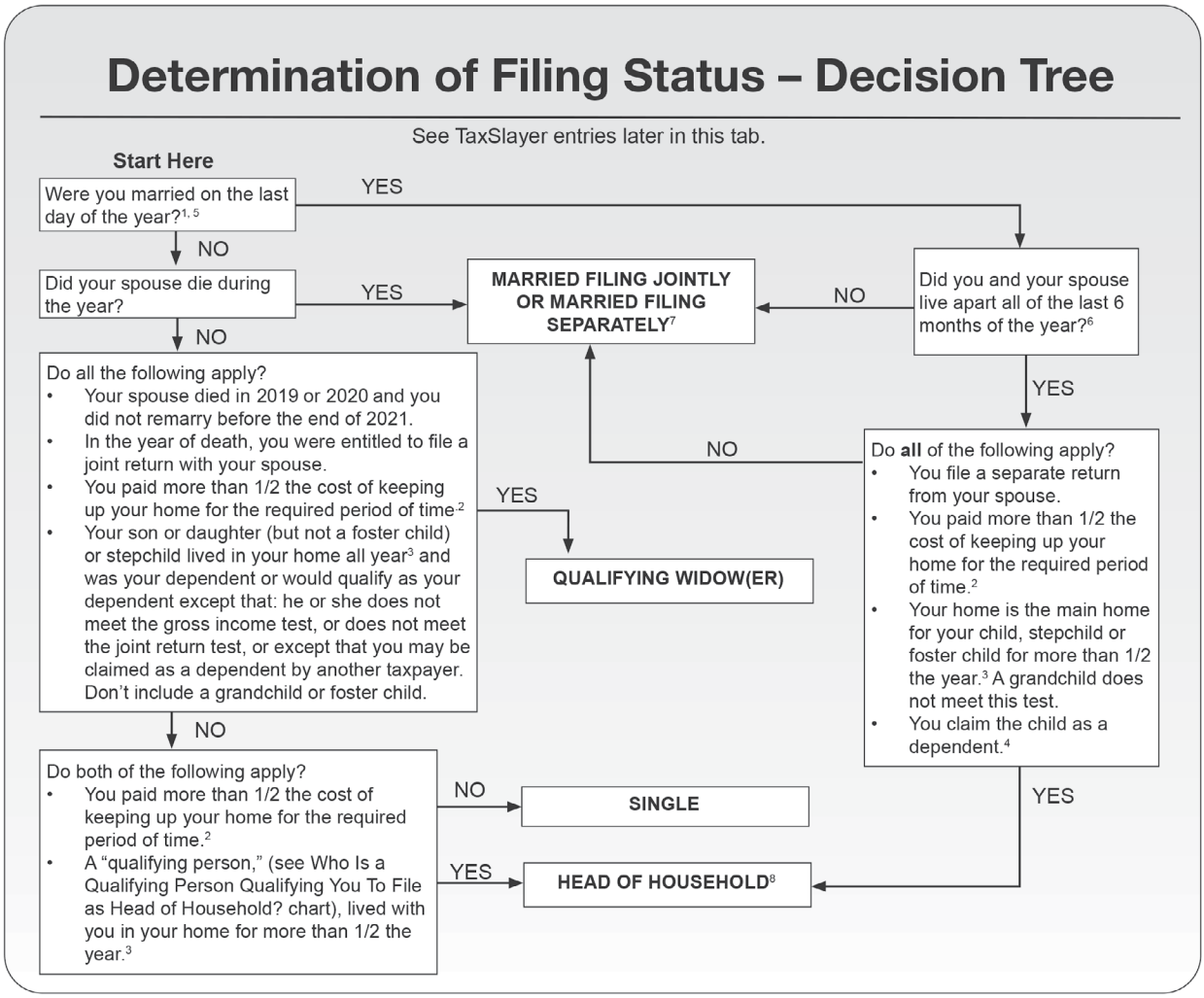
Uncheck the boxes for the items that you do not want to pull forward.W2s that are carried forward and not used will need to be deleted.

Select what you would like to pull forward by checking the boxes to the left of the items listed on the We've found data to import screen and select **Yes**. Your prior year information will then be pulled to the current year tax return.



CAUTION Be sure to verify that all EINs and addresses on Forms W-2 and 1099-R are still the same as the prior year when using carryforward.

Determination of Filing Status – Decision Tree



Footnotes

[1] Answer "NO" to this question if, on the last day of the year, you were legally separated from your spouse under a divorce or separate maintenance decree. Answer "NO" for individuals who have entered into a registered domestic partnership, civil union, or other similar relationship that is not called a marriage under state (or foreign) law. Answer YES if taxpayer is married regardless of where the spouse lives.

[2] Include in the cost of upkeep expenses such as rent, mortgage interest, real estate taxes, insurance on the home, repairs, utilities and food eaten in the home. Under proposed regulations, a taxpayer may treat a home's fair market rental value as a cost of maintaining a household instead of the sum of payments for mortgage interest, property taxes and insurance. See "Cost of Keeping Up a Home" worksheet later in this tab.

[3] See Publication 17, Your Federal Income Tax For Individuals, Filing Status, for rules applying to birth, death, or temporary absence during the year. There are special rules for claiming your parent as a qualifying person for head of household. See the Who Is a Qualifying Person Qualifying You To File as Head of Household? chart later in this tab)

[4] Unless the child's other parent claims him or her under rules for children of divorced or separated parents or parents who lived apart.

[5] You are considered unmarried for head of household purposes if your spouse was a nonresident alien at any time during the year and you do not choose to treat your nonresident spouse as a resident alien. However, your spouse is not a qualifying person for head of household purposes. You must have another qualifying person (see the Who Is a Qualifying Person Qualifying You To File as Head of Household? chart later in this tab) and meet the other tests to be eligible to file as a head of household. You are considered married if you choose to treat your nonresident alien spouse as a resident alien. See chapter 1 of Pub 519, U.S. Tax Guide For Aliens.

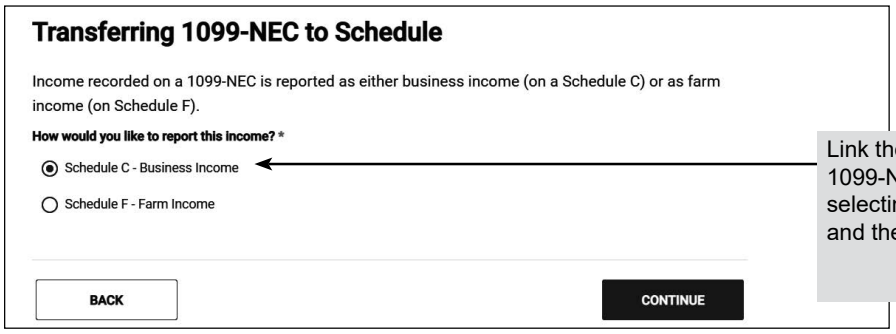
[6] Your spouse is considered to live in your home even if he or she is temporarily absent due to illness, education, business, vacation, military service, or incarceration.

[7] If the taxpayer wants to file MFS, emphasize the advantages to Married Filing Jointly and the possibility of filing Form 8379, Injured Spouse Claim & Allocation (if appropriate). See Pub 17, Filing Status, MFS Special Rules for list of disadvantages. Respect a taxpayer's decision to file MFS. If domiciled in a community property state see Pub 555, Community Property.

[8] There can be multiple households within a shared living quarter if each household meets their determined filing requirements.

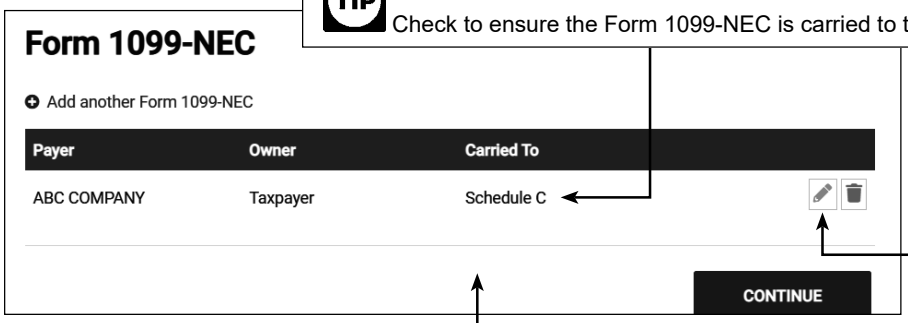
Note: If one spouse dies and the other remarries in the same year, the deceased spouse files Married Filing Separately.

Connecting the Form 1099-NEC to Schedule C



Link the information from the 1099-NEC to Schedule C by selecting the Schedule C button and then selecting Continue.

Note: If the taxpayer has more than one business, you must use a separate Schedule C for each.



TIP Check to ensure the Form 1099-NEC is carried to the correct section of Form 1040.

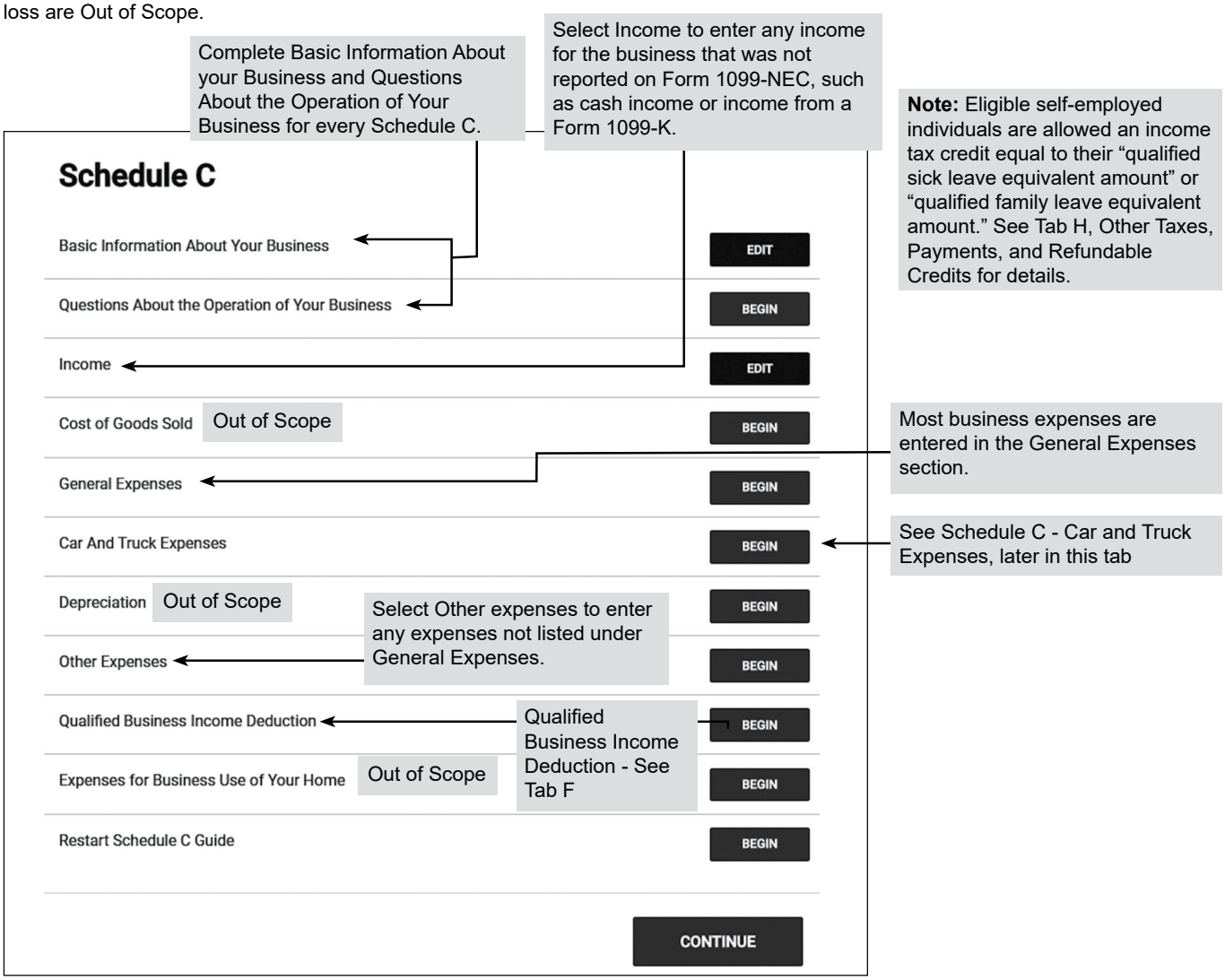
If there is more than one Form 1099-NEC for the same business, ensure that they are all linked to the same Schedule C. To link a second Form1099-NEC click on "Add another Form 1099-NEC, enter data, and select "Continue." On the next screen select form, C or F, select "Report this income on a Schedule C I already created for my business" then select business description and Continue.

CAUTION If the Carried To section says “None” the income is not being reported on the return. Select Edit and link to the appropriate Schedule.

Schedule C - Menu

TaxSlayer Navigation: Federal Section>Income>Form 1099-NEC; or Keyword “SC”

CAUTION Businesses with inventory, employees, contract labor, depreciation, business use of the home, expenses over $35,000 or a net loss are Out of Scope.

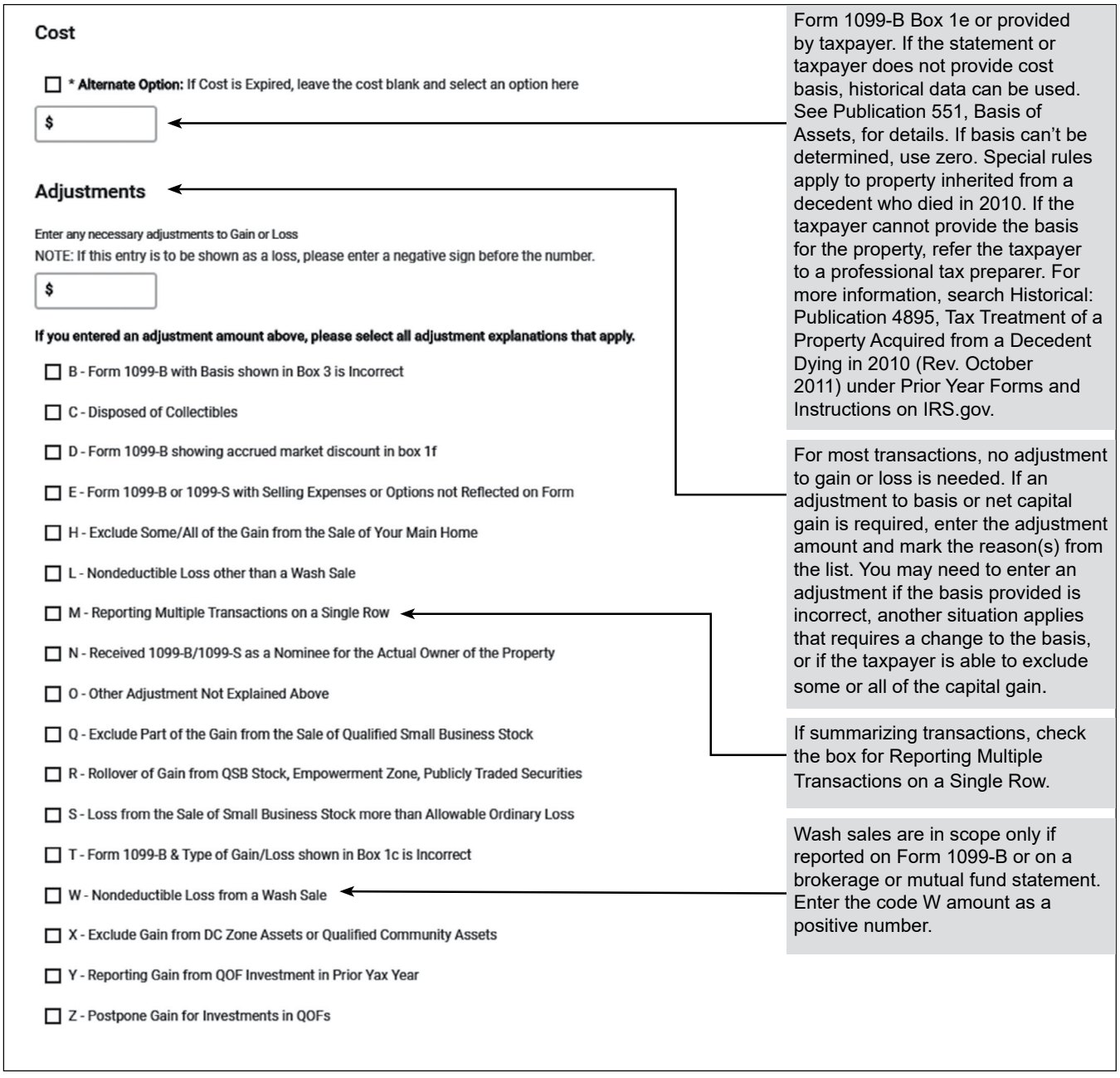


If the business accepted credit or debit cards in payment or received payments via 3rd party network, it may receive Form 1099-K Payment Card and Third Party Network Transactions (see note below).

Note: Income reported on Form 1099-K is in scope if received for self-employment income (such as shared-economy driving). Make sure the total shown on the 1099-K is included, along with any cash income, on Schedule C income section. A Form 1099-K received for the sale of goods held in inventory or for rental income is Out of Scope (unless certified in Military).

CAUTION Income from the manufacture, distribution, or trafficking of controlled substances (such as marijuana) is Out of Scope.

Entering Capital Gains and Losses (continued)



Form 1099-B Box 1e or provided by taxpayer. If the statement or taxpayer does not provide cost basis, historical data can be used. See Publication 551, Basis of Assets, for details. If basis can't be determined, use zero. Special rules apply to property inherited from a decedent who died in 2010. If the taxpayer cannot provide the basis for the property, refer the taxpayer to a professional tax preparer. For more information, search Historical: Publication 4895, Tax Treatment of a Property Acquired from a Decedent Dying in 2010 (Rev. October 2011) under Prior Year Forms and Instructions on IRS.gov.

For most transactions, no adjustment to gain or loss is needed. If an adjustment to basis or net capital gain is required, enter the adjustment amount and mark the reason(s) from the list. You may need to enter an adjustment if the basis provided is incorrect, another situation applies that requires a change to the basis, or if the taxpayer is able to exclude some or all of the capital gain.

If summarizing transactions, check the box for Reporting Multiple Transactions on a Single Row.

Wash sales are in scope only if reported on Form 1099-B or on a brokerage or mutual fund statement. Enter the code W amount as a positive number.

Entering Capital Gains and Losses (continued)

Exception to Entering Each Transaction on a Separate Row

When a taxpayer's Form 1099-B includes so many transactions that it isn't practical to enter each one into TaxSlayer, use the following procedure.

1. Divide the transactions into four categories:
   - Short term transactions with basis reported to the IRS - categorized as "Box A."
   - Short term transactions with basis not reported to the IRS - categorized as "Box B."
   - Long term transactions with basis reported to the IRS - categorized as "Box D."
   - Long term transactions with basis not reported to the IRS - categorized as "Box E."
2. Enter the total of each category on the capital gain entry screen.
3. If any of the transactions requires an adjustment to the reported basis, select the reason from the check box that includes that transaction.
4. If there are transactions with basis not reported to the IRS, the broker's list of transactions must be submitted as an attachment to the tax return. Submit the document using either of the following two methods:
   - Electronic: Scan the pages and save as a PDF. Attach the PDF to the electronic return prior to creating the e-file.
   - Hardcopy: Make a photocopy and attach it to Form 8453, U.S. Individual Income Tax Transmittal for an IRS e-file Return, to be mailed to the IRS Service Center in Austin, Texas.



Common Items Found on Brokers' Statements

Look for all of the following items: (You may or may not find them all.)

1. 1099-INT (Summary-NOT detail)
2. 1099-DIV (Summary-NOT detail)
3. 1099-B (Summary and Detail) and "Cost basis" or "Transaction detail" for sale of stock: Input as capital gains or losses.
4. If there are dividends from mutual funds, look for an insert or chart that says what percentage came from federal government interest: Enter on the dividend input screen and select your state (check your state rules).
5. The chart should also show what percent came from municipal bonds from each state: Input exempt interest from states other than yours by selecting tax-exempt interest income and making the state adjustment (check your state rules).
6. Foreign taxes paid: Enter foreign taxes paid on the dividend input screen only if all foreign taxes relate to passive income and the total on all tax statements (1099, etc.) is less than $300 ($600 MFJ); otherwise, in scope only if certified in International.

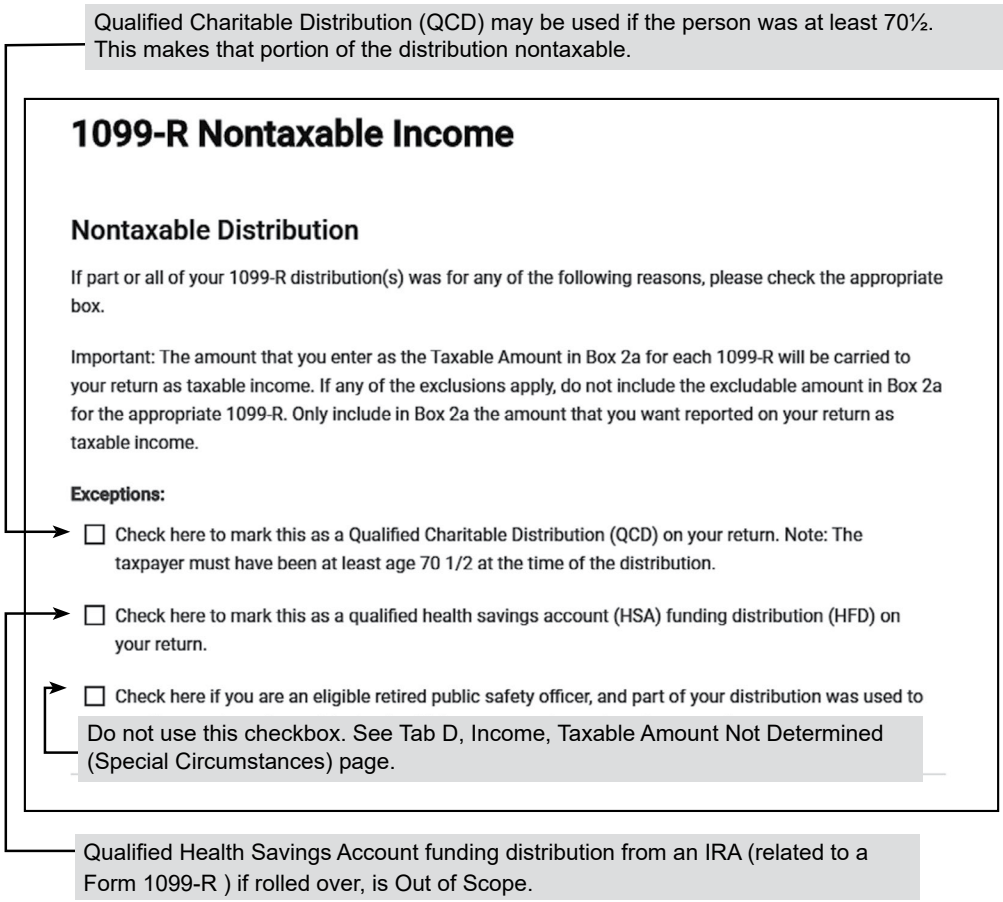
Note: Net losses greater than $3,000 ($1,500 if MFS) will carry forward to future tax years.

Form 1099-R Box 7 Distribution Codes (continued)

Box 7 Distribution Codes	Explanations
A — May be eligible for 10-year tax option	This code is Out of Scope.
B — Designated Roth account distribution	Code B is for a distribution from a designated Roth account. This code is in scope only if taxable amount has been determined.
D — Annuity payments from nonqualified annuities	Code D is used for a distribution from a private annuity in conjunction with the regular code. The distribution is subject to the net investment income tax. If the taxpayer has AGI over a threshold amount ($200,000 for a single taxpayer or HoH; $250,000 MFJ or QW; $125,000 MFS), then this code means the return is Out of Scope. If the AGI is less than the threshold amount the return is in scope and no further action is needed.
E — Distributions under Employee Plans Compliance Resolution System (EPCRS)	This code is Out of Scope.
F — Charitable gift annuity	Code F is used for the annuity payments from a charitable gift annuity. To determine the amount to enter in Box 2a (Taxable amount), subtract the amount in Box 3 Capital gain, and Box 5 (Employee contributions) from the Gross distribution (Box 1) and enter that difference in the Form 1099R screen Box 2a. Also, navigate to Income>Capital Gains and Losses>Additional Capital Gain Distributions and enter the amount in Box 3 as a long-term capital gain.
G — Direct rollover of distribution and direct payment	Code G is for a direct rollover from a qualified plan to an eligible retirement plan. If Box 2a, taxable amount, is zero or blank, it won't be taxed. If there is an amount in Box 2a, the direct rollover is fully or partially taxable. No further action is needed.
H — Direct rollover of a designated Roth account distribution to a Roth IRA	Code H is for a direct rollover of a distribution from a designated Roth account to a Roth IRA. It won't be taxed. No further action is needed. Box 2a should be blank.
J — Early distribution from a Roth IRA	This code is Out of Scope.
K — Distribution of Traditional IRA assets not having a readily available FMV	This code is Out of Scope.
L — Loans treated as deemed distributions	Code L is for loans treated as deemed distributions. This code could possibly be combined with codes 1, 4, or B. For more information on how it is treated see the codes on this chart.
N — Recharacterized IRA contribution	This code is Out of Scope.
P — Excess contributions plus earnings/excess deferrals	This code is Out of Scope.
Q — Qualified distribution from a Roth IRA	This distribution isn't taxable. Box 2a should be blank. TaxSlayer enters the distribution amount on Form 1040 on the IRAs, pensions, and annuities line. No further action is needed.
R — Recharacterized IRA contribution	This code is Out of Scope.
S — Early distribution from a SIMPLE IRA in the first 2 years, no known exception	A 25% additional tax will be applied unless the taxpayer qualifies for an exception. See Tab H, Other Taxes, Payments, and Refundable Credits, for a list of exceptions. If the taxpayer qualifies for an exception, go to Form 5329 and enter the amount of the distribution not subject to the additional tax and the code for the exception and the amount that qualifies for it.
T — Roth IRA distribution, exception applies	This code is Out of Scope.
U — Dividends distributed from an ESOP	This code is Out of Scope.
W — Charges or payments for LTC contracts	This code is Out of Scope.

Form 1099-R Nontaxable Income

TaxSlayer Navigation: Federal Section>Income>1099-R, RRB-1099, RRB-1099-R, SSA-1099>Nontaxable Distbutions



Qualified Charitable Distributions:

- The QCD is not included in income.
- The QCD is not allowed as a charitable deduction.
- The QCD counts toward the taxpayer's Minimum Required Distribution.
- It must be a direct distribution from the trustee to the qualified charitable organization.
- The amount of the QCD should be deducted from the gross distribution and the result entered in Box 2a on the Form 1099-R input screen.

Note: A qualified charitable contribution (QCD) can be made by a taxpayer who is age 70 ½ or older (unchanged). However, the excludible portion of a QCD distribution is reduced by IRA deductions once the taxpayer attains age 70½. This provision applies cumulatively for tax years beginning after 2019 as to both distributions and deductions.

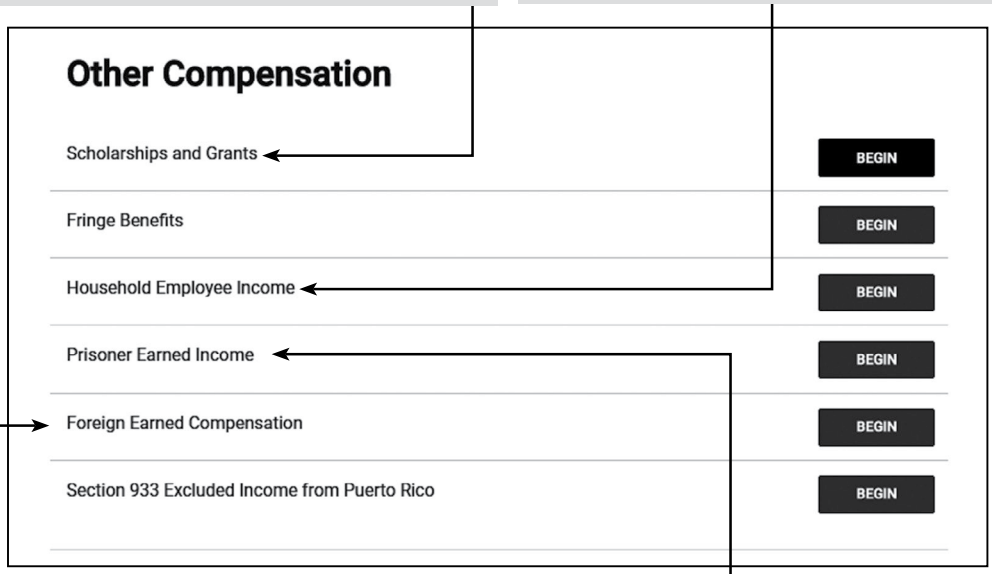
CAUTION If taxpayers receive or expect to receive a state or local tax credit for their QCD, the amount treated as a QCD may be reduced by the amount of the state or local tax credit. See Publication 526, Charitable Contributions, for details.

Entering Other Compensation in TaxSlayer

TaxSlayer Navigation: Income>Less Common Income>Other Compensation

Scholarships and grants used to pay for tuition, fees and course-related expenses are not taxable. Use this link to report only amounts that were used for nonqualifying expenses. “SCH” will appear on the dotted line next to the wages line on Form 1040. Taxable scholarship is considered unearned income for most purposes but is considered earned income for determining filing requirement.

Enter wages received as a household employee for which the taxpayer did not receive a Form W-2 because the employer paid less than $2,300 in 2021. “HSH” will appear on the dotted line next to wages on Form 1040.



Enter foreign earned income (wages, salaries, etc.) paid by a foreign employer for work performed while the taxpayer lived in a foreign country.

Enter the amount received for work while an inmate in a penal institution. For purposes of the Earned Income Credit, this isn’t considered earned income. This includes amounts received for work performed while in a work release program or while in a halfway house. “PRI” will appear on the dotted line next to the line for wages on Form 1040. This entry is made in addition to entering the Form W-2 from the penal institution.

Note: If Rebate/Patronage Dividends issued by co-ops on Form 1099-PATR Box 1 are for personal use only, the amount is nontaxable and is not entered into TaxSlayer. Enter note on intake sheet and tax return noting it is for personal use only. No other box or use is in scope.

Publication 4731

Screening Sheet for Nonbusiness Credit Card Debt Cancellation

If the taxpayer is in bankruptcy, the tax return is Out of Scope for the VITA/TCE Programs.

Instructions: Use this Screening Sheet for taxpayers with Form 1099-C or other documentation resulting from cancellation of nonbusiness credit card debt and to assist in identifying taxpayers with cancellation of credit card debt issues.

Credit Card Debt

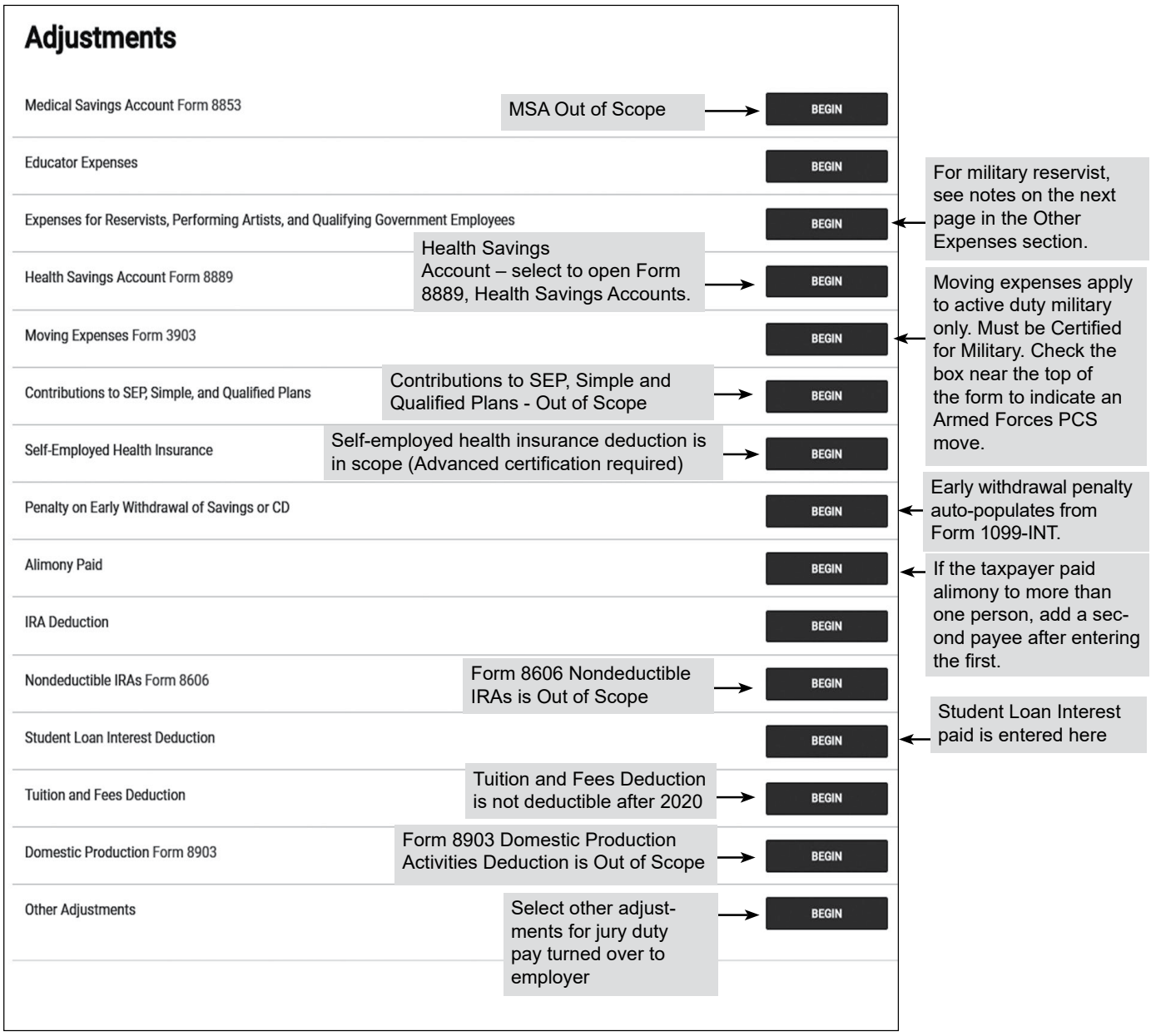
step 1	Did the taxpayer receive Form 1099-C, Cancellation of Debt, or other documentation (if less than $600) from a creditor and is the information shown on the form or document correct? **Note:** The creditor is not required to issue a Form 1099-C if the canceled debt is under $600. However, the taxpayer may be required to report the canceled debt as income regardless of the amount.	**YES** – Go to Step 2 **NO** – Go to Step 6
step 2	Was the credit card debt related to a business?	**YES** – Go to Step 6 **NO** – Go to Step 3
step 3	Does box 6 of the Form 1099-C indicate Code A for bankruptcy? **Note:** If box 6 is not marked with a Code A, but the taxpayer has subsequently filed bankruptcy, answer "yes."	**YES** – Go to Step 6 **NO** – Go to Step 4
step 4	Was the taxpayer insolvent* immediately before the cancellation of debt? Use the Insolvency Determination Worksheet in Publication 4012 and interview the taxpayer to determine if the taxpayer was insolvent immediately before the cancellation of debt.	**YES** – Go to Step 6 **NO** – Go to Step 5
step 5	The cancellation of nonbusiness indebtedness or cancellation of debt (the amount in box 2 of Form 1099-C or an amount less than $600 provided in other documentation) must be reported as ordinary income on Form 1040, Schedule 1 (Other Income). No additional supporting forms or schedules are required for reporting income from canceled credit card debt.	
step 6	This tax issue is outside the scope of the volunteer programs. The taxpayer may qualify to exclude all or some of the discharged debt. However, the rules involved are complex. **Refer the taxpayer to:** • The IRS website for the most up-to-date information. • The Taxpayer Advocate Service (TAS): 1-877-777-4778, TTY/TDD 1-800-829-4059. TAS may help if the problem cannot be resolved through normal IRS channels. • A professional tax preparer. • Publication 4681, Canceled Debts, Foreclosures, Repossessions, and Abandonments (For Individuals)	

* If the taxpayer is not in bankruptcy or unable to determine if they are insolvent the credit card debt forgiveness is presumed fully taxable.

Publication 4731 (10-2018) Catalog Number 52643X Department of the Treasury **Internal Revenue Service**

Adjustments to Income

TaxSlayer Navigation: Federal Section >Deductions >Adjustments



Note: The deduction for charitable contributions by taxpayers who do not itemize was modified by the Taxpayer Certainty and Disaster Tax Relief Act of 2020. For tax year 2021, married couples filing a joint return may deduct cash contributions up to $600 (all other filers are limited to $300). Cash contributions include those made by check, credit card or debit card as well as amounts incurred by an individual for unreimbursed out-of-pocket expenses in connection with the individual's volunteer services to a qualifying charitable organization. Cash contributions don't include the value of volunteer services, securities, household items or other property. Additionally, the deduction does not reduce adjusted gross income.

Employee Business Expenses

Note: Form 2106 is in scope for Military certification only.

Form 2106 Information

CANCEL CONTINUE

Personal Information

Form belongs to *

- (•) Taxpayer Sample
- ( ) Spouse Sample

Occupation *

- [✓] Check here if you are a member of a Reserve Component of the United States, including National Guard and reserves, a performing artist, or qualifying government employee.
- [ ] Check here to Prorate Expenses for Minister/Clergy.

Check the box to indicate that the taxpayer is a member of a Reserve Component.

Other Expenses

Entry of auto expenses will be available once you "Continue"

Parking fees, tolls, and transportation, including train, bus, etc., that **did not** involve overnight travel or commuting to and from work

$

Enter parking or ferry fees and tolls.

Travel expense while away from home overnight, including lodging, airplane, car rental, etc. **Do not** include meals

$

Enter lodging expense

Business expenses not included above or in vehicle expenses. **Do not** include meals

$

Amount paid by employer (not on W-2 Box 1)

$

Note: Military reservists who must travel more than 100 miles away from home to attend a drill or reserve meeting may deduct their travel expenses as an adjustment to income. Entertainment expenses are not allowed.

The amount of expenses that can be deducted is limited to the:

1) actual lodging costs, limited to the federal per diem rate.

2) federal per diem rate for meals and incidental expenses and

3) standard mileage rate (for car expenses) plus any parking fees, ferry fees and/or tolls.

Enter this information on Form 2106.

Meal Expenses

Enter your meal expenses. The program will automatically take 50% of these expenses

$

Enter meal expenses at the federal per diem rate

Amount Employer paid for meals

$

If you are an employee subject to the Department of Transportation (DOT), enter your expenses here and the program will automatically take 80% of your expenses

$

Amount Employer paid for meals subject to DOT

$

Select Continue and enter vehicle information and mileage from the menu on the next screen.

CANCEL CONTINUE

Health Saving Accounts (HSA) (continued)

TIP Don't rely on this document alone. Refer to HSA references to provide assistance.

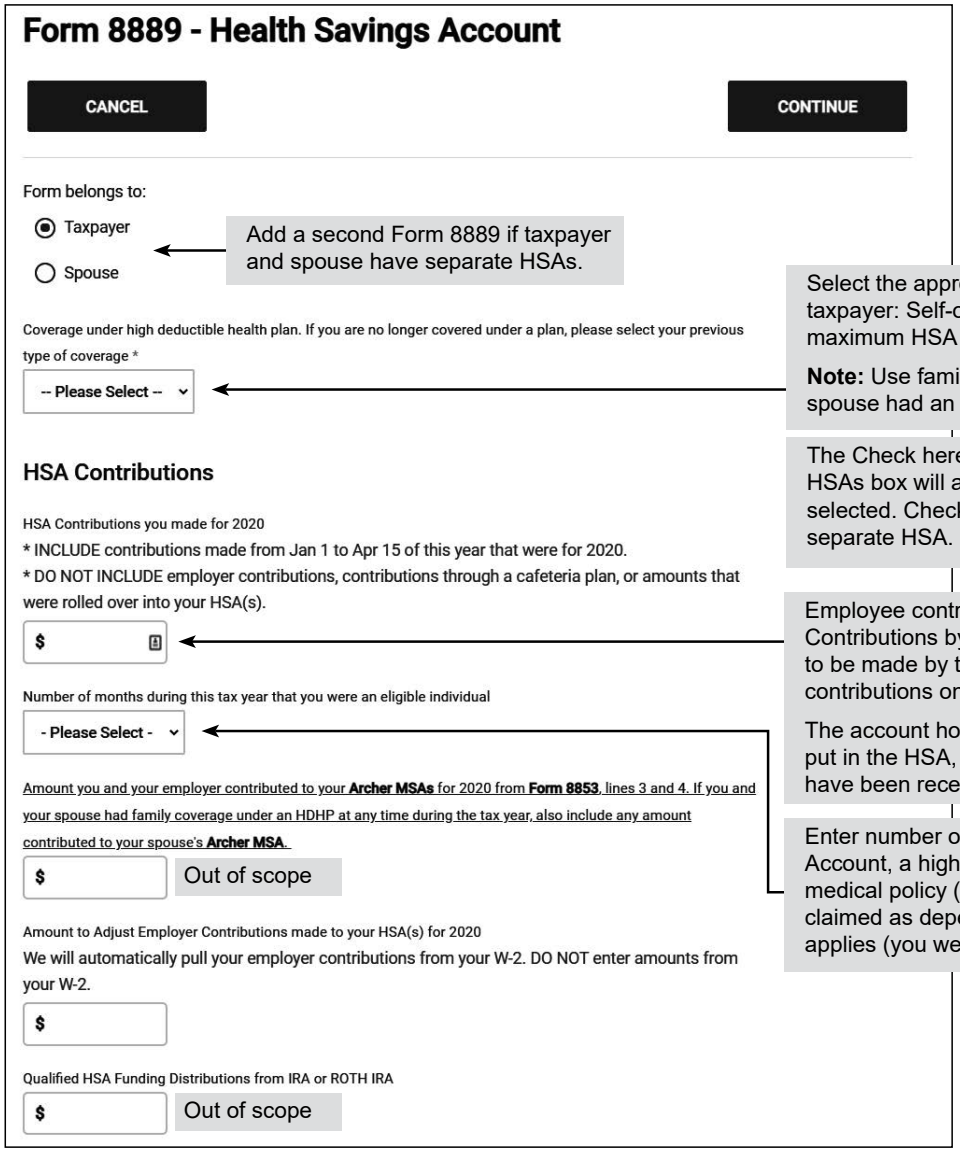
How will you know if the taxpayer has an HSA issue?

- The Interview/Intake & Quality Review Sheet has the Yes or Unsure HSA box checked.
- The taxpayer's (or spouse's) Form W-2 will contain code W in box 12 for employer contributions.
- The taxpayer (or spouse) has a Form 1099-SA with an X in the box showing distributions from an HSA.
- The taxpayer (or spouse) may receive Form 5498-SA for their HSA contributions. If taxpayers don't have this form they can provide the information regarding HSA contributions based on their records.

CAUTION Contributions to an employee's account through a Section 125 (cafeteria) plan are treated as employer contributions and aren't deductible.

2021 Contribution Limits

Family Plan: $7,200
Self only Plan: $3,600
Add $1,000 if the owner is age 55 or over at end of year



Select the appropriate HDHP coverage for the taxpayer: Self-only or family. This determines the maximum HSA contribution limits.

Note: Use family coverage amount if taxpayer or spouse had an HDHP with family coverage.

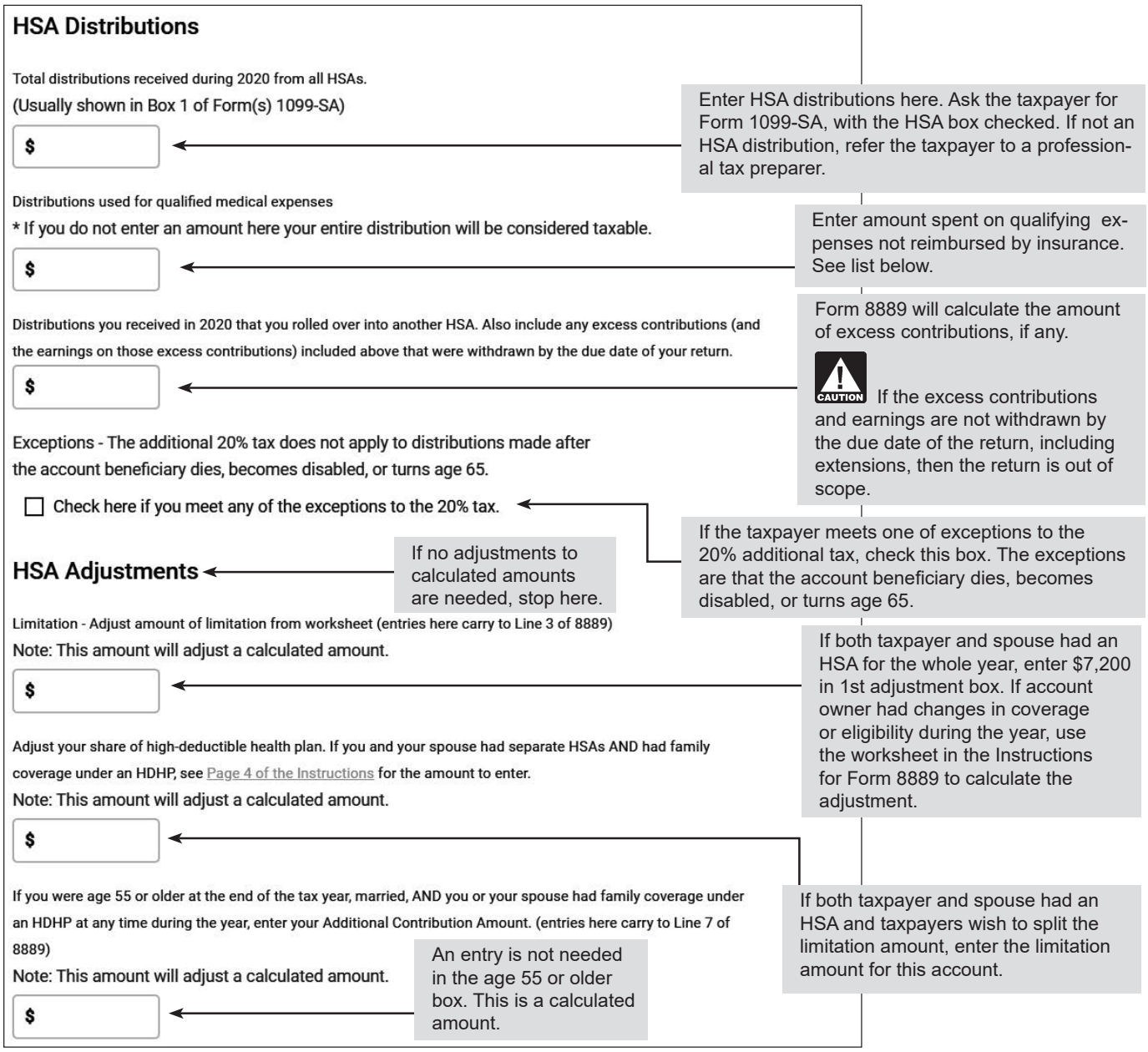
The Check here if you and your spouse have separate HSAs box will appear when family coverage is selected. Check the box if BOTH spouses have a separate HSA.

Employee contributions are entered here. Contributions by relatives and friends are considered to be made by taxpayer. Don't include employer contributions on this line.

The account holder needs to tell you how much was put in the HSA, because the Form 5498-SA may not have been received prior to preparing the return.

Enter number of months you had a Health Savings Account, a high deductible policy and no other major medical policy (including Medicare) and could not be claimed as dependent. Enter "12" if "12 month rule" applies (you were eligible on December 1st).

Health Saving Accounts (HSA) (continued)



Qualifying Medical Expenses:

Except for health insurance premiums, qualifying expenses include all medical and dental expenses deductions allowed on Schedule A. Additional items are considered “qualified medical expenses” and may be reimbursed by HSAs, Archer MSAs, Health FSAs, and HRAs. Specifically, the cost of menstrual care products is now reimbursable. These products are defined as tampons, pads, liners, cups, sponges or other similar products. In addition, over-the-counter products and medications are now reimbursable without a prescription. The purchase of personal protective equipment (PPE), such as masks, hand sanitizer and sanitizing wipes, for the primary purpose of preventing the spread of coronavirus are also eligible to be paid or reimbursed. The cost of home testing for COVID-19 is also an eligible medical expense.

Only these insurance premiums can be included:

a. Long-term care insurance premiums subject to limits see Tab F, Deductions.
b. Health care continuation coverage such as coverage under COBRA,
c. Health care coverage while receiving unemployment compensation, and
d. Medicare and other health care coverage if the taxpayer was 65 or older (other than premiums for a Medicare supplemental policy, often called Medigap coverage).

Student Loan Interest Deduction at a Glance

TaxSlayer Navigation: Federal section >Deductions >Adjustments>Student Loan Interest Deduction

CAUTION This table is only an overview of the rules. For details see Publication 970, Tax Benefits for Education.

Feature	Description
Maximum benefit	You can reduce your income subject to tax by up to $2,500.
Loan qualifications	Your student loan: Taxpayer must be legally liable for the loan. • must have been taken out solely to pay education expenses, and • can't be from a related person or made under a qualified employer plan.
Student qualifications	The student must be: • you, your spouse, or a person who was your dependent when you took out the loan, or would've been your dependent except you were a dependent, or had gross income over the exemption amount, or filed MFJ. • enrolled at least half-time in a program leading to a degree, certificate or other recognized educational credential.
Time limit on deduction	You can deduct interest paid during the remaining period of your student loan.
Phaseout	The amount of your deduction depends on your modified adjusted gross income and filing status.

If student loan interest is paid by someone who isn't legally liable for it, the payment is treated as received by the person who's legally liable, and the person legally liable is allowed to take the adjustment. Student loan interest is generally reported to the taxpayer on Form 1098-E. For payments made after March 27, 2020, and before January 1, 2026, do not deduct as interest on a student loan any interest paid by your employer under an educational assistance program.

Note: Taxpayer cannot claim deduction if filing status is Married Filing Separately or if the taxpayer or spouse (if MFJ) is claimed as a dependent.

Student Loan Interest
The SECURE Act of 2019 allows a distribution from a Section 529 education savings account of up to $10,000 total (not annually) to be applied to the principal or interest for any qualified student loan for the designated beneficiary or sibling of the designated beneficiary effective for distributions made after December 31, 2018.

Note: Any interest paid with a Section 529 plan distribution cannot also be taken as a student loan adjustment to income on Form 1040.

Notes

Standard Deduction

This chart provides the standard deduction amounts for tax year 2021.

Standard Deduction Chart for Most People*	
If the taxpayer's filing status is...	**Your standard deduction is ...**
Single or married filing separate return	$12,550
Married filing joint return or qualifying widow(er) with dependent child	$25,100
Head of household	$18,800

*Don't use this chart if the taxpayer was born before January 2, 1957, or is blind, or if someone can claim the taxpayer as a dependent (or their spouse if married filing jointly). (See the chart on the following page.)

Persons Not Eligible for the Standard Deduction

Your standard deduction is zero and you should itemize any deductions you have if:

- Your filing status is married filing separately, and your spouse itemizes deductions on his or her return. It doesn't matter who files first.
- You are filing a tax return for a short tax year because of a change in your annual accounting period (Out of Scope)
- You are a nonresident or dual-status alien during the year. You are considered a dual-status alien if you were both a nonresident and resident alien during the year (Out of Scope).
- If you are a nonresident alien who is married to a U.S. citizen or resident alien at the end of the year, you can choose to be treated as a U.S. resident. (See Publication 519, U.S. Tax Guide for Aliens.) If you make this choice, you can take the standard deduction.

Note: If you can be claimed as a dependent on another taxpayer's return (such as your parents' return), your standard deduction may be limited.

Note: The deduction for charitable contributions by taxpayers who do not itemize was modified by the Taxpayer Certainty and Disaster Tax Relief Act of 2020. For tax year 2021, married couples filing a joint return may deduct cash contributions up to $600 (all other filers are limited to $300). Cash contributions include those made by check, credit card or debit card as well as amounts incurred by an individual for unreimbursed out-of-pocket expenses in connection with the individual's volunteer services to a qualifying charitable organization. Cash contributions don't include the value of volunteer services, securities, household items or other property. Additionally, the deduction does not reduce adjusted gross income.

Standard Deduction (continued)

Standard Deduction Chart for People Born Before January 2, 1957, or Who are Blind
Don't use this chart if someone can claim you (or your spouse if filing jointly) as a dependent.
Use the second worksheet below.

Standard Deduction Chart for People Who Were Born Before January 2, 1957, or Were Blind

Don't use this chart if someone can claim you, or your spouse if filing jointly, as a dependent. Instead, use the worksheet above.

- ☐ You were born before January 2, 1957
- ☐ You are blind
- ☐ Spouse was born before January 2, 1957
- ☐ Spouse is blind

Blind is defined in Tab R, Glossary and Index

Enter the total number of boxes checked . . . . . ▶ ☐

IF your filing status is . . .	AND the number in the box above is . . .	THEN your standard deduction is . . .
Single	1 2	$14,250 15,950
Married filing jointly	1 2 3 4	$26,450 27,800 29,150 30,500
Qualifying widow(er)	1 2	$26,450 27,800
Married filing separately	1 2 3 4	$13,900 15,250 16,600 17,950
Head of household	1 2	$20,500 22,200

Standard Deduction Worksheet for Dependents

Use this worksheet only if someone else can claim you (or your spouse if filing jointly) as a dependent.

1. Check if:
   - ☐ You were born before January 2, 1957
   - ☐ You are blind
   - ☐ Spouse was born before January 2, 1957
   - ☐ Spouse is blind

   Total number of boxes checked . . . . . 1. _____
2. Is your **earned income*** more than $750?
   - ☐ **Yes.** Add $350 to your earned income, Enter the total
   - ☐ **No.** Enter $1,100

   . . . . . 2. _____
3. Enter the amount shown below for your filing status.
   - Single or married filing separately**— $12,550
   - Married filing jointly— $25,100
   - Head of household— $18,800

   . . . . . 3. _____
4. **Standard deduction.**
   - a. Enter the **smaller** of line 2 or line 3. If born after January 1, 1957, and not blind, **stop here** and enter this amount on Form 1040 or Form 1040-SR, line 12a. Otherwise go to line 4b . . . . . 4a. _____
   - b. If born before January 2, 1957, or blind, multiply the number on line 1 by $1,350 ($1,700 if single or head of household) . . . . . 4b. _____
   - c. Add lines 4a and 4b. Enter the total here and on Form 1040 or 1040-SR, line 12a . . . . . 4c. _____

** **Earned income** includes wages, salaries, tips, professional fees, and other compensation received for personal services you performed. It also includes any taxable scholarship or fellowship grant. Generally, your earned income is the total of the amount(s) you reported on Form 1040, line 1, and Sch 1 - line 3 business inc or (loss); line 6 farm inc or (loss); minus the amount, if any, on Schedule 1, line 14.*

*** **Married Filing Separately** – You can check the boxes for "Your spouse" if your filing status is married filing separately and your spouse had no income, isn't filing a return, and can't be claimed as a dependent on another person's return.*

Interview Tips – Itemized Deductions

These interview tips will assist you in determining whether a taxpayer's itemized deductions are more than their standard deduction amount. It may be more advantageous for a taxpayer to itemize their deductions if the amount is larger than the allowable standard deduction amount.

step 1	Do you have expenses in the following categories: medical and dental expenses, taxes you paid, home mortgage interest you paid, gifts to charity, gambling losses and expenses incurred in gambling activities (to the extent of gambling winnings) and work related expenses for disabled individuals that enables them to work. **Note:** Casualty and theft losses are beyond the scope of VITA/TCE.	If **YES**, go to Step 2. If **NO**, generally speaking, you should take the standard deduction if eligible. For further explanation see exceptions in Publication 502, Medical and Dental Expenses.
step 2	Were the medical and dental expenses paid by an employer under a pre-tax plan (not included in Box 1 of the taxpayer's Form W-2) or were the expenses reimbursed by an insurance company?	If **YES**, you can't deduct reimbursed expenses. Go to Step 4. If **NO**, you can claim these expenses. Go to Step 3.
step 3	Were the medical and dental expenses more than 7.5% of your adjusted gross income? **Note:** You can include medical and dental bills you paid for: • Yourself and your spouse • All dependents you claim on your return • Your child whom you don't claim as a dependent because of the rules for children of divorced or separated parents • Any person you could have claimed as a dependent on your return except that person received $4,300 or more of gross income or filed a joint return • Any person you could have claimed as a dependent except that you, or your spouse if filing jointly, can be claimed as a dependent on someone else's 2021 return	If **YES**, you can claim qualified expenses. Go to Step 4. If **NO**, you can't deduct these expenses. Go to Step 4.
step 4	Were the following taxes you paid imposed on you: state and local general sales tax, state or local income tax, real or personal property taxes? **Note:** The total amount of these taxes is limited to $10,000 ($5,000 MFS) per return.	If **YES**, go to Step 5. If **NO**, you can't claim this expense as a deduction because you weren't obligated to pay the taxes. Go to Step 6.
step 5	Did you pay these taxes during this tax year?	If **YES**, you can claim these expenses and go to Step 6. If **NO**, you can't deduct taxes for this year that were paid in another year. Go to Step 6.
step 6	Are you legally liable for a home mortgage loan?	If **YES**, go to Step 7. If **NO**, you can't take an interest expense for a mortgage for which you aren't legally liable. Go to Step 13.

Interview Tips – Itemized Deductions (continued)

step 7	Was the mortgage a secured debt on a main or second home?	If **YES**, go to Step 8. If **NO**, you can't take an interest expense. Go to Step 13.
step 8	Did you pay the mortgage interest in this tax year?	If **YES**, go to Step 9. If **NO**, you can't take the mortgage interest deduction. Go to Step 13.
step 9	Did you take out the mortgage on or before October 13, 1987?	If **YES**, your mortgage interest is fully deductible. Go to Step 10. If **NO**, follow the flowchart, "Is My Home Mortgage Interest Fully Deductible" in Publication 936, Home Mortgage Interest Deduction, to determine what is deductible. Go to Step 13.
step 10	Did you pay premiums in 2021 for qualified mortgage insurance for a home acquisition debt that was issued afer 2006?	If **YES**, you can take a deduction for qualified mortgage insurance as home mortgage interest with AGI limitations. If **NO**, you can't take a deduction for qualified mortgage insurance as home mortgage interest. Go to Step 11.
step 11	Did you pay points to obtain a home mortgage (on a main home or second home or home improvement loan or to refinance your home)?	If **YES**, follow the "Are My Points Fully Deductible This Year" flowchart in Publication 936 and then go to Step 12. See **Note 1**. If **NO**, go to Step 12.
step 12	Did you have home equity interest that was used to buy, build, or improve your home?	If **YES**, your home equity interest is deductible. If **NO**, go to Step 13.
step 13	Did you make a cash contribution to a qualified organization?	If **YES**, you must have a written record from that particular organization, and then go to Step 14. If **NO**, go to Step 14.
step 14	Did you make a noncash donation to a qualified organization? N**ote:** Generally the value of a donation is the lesser of your cost or fair market value.	If **YES**, advise the taxpayer that generally he or she must have a written receipt from that particular organization. Go to Step 15. See **Note 2**. If **NO**, Go to Step 15.
step 15	Is the total of all noncash donations $500 or less?	If **YES**, see **Note 3** for more details. If **NO**, this is beyond the scope of VITA/TCE unless certified in Military. Refer taxpayer to a professional tax preparer.

Note 1: If you refinanced in an earlier year, and weren't eligible to take all the points in that year, you can add in this year's portion of those prior year points.

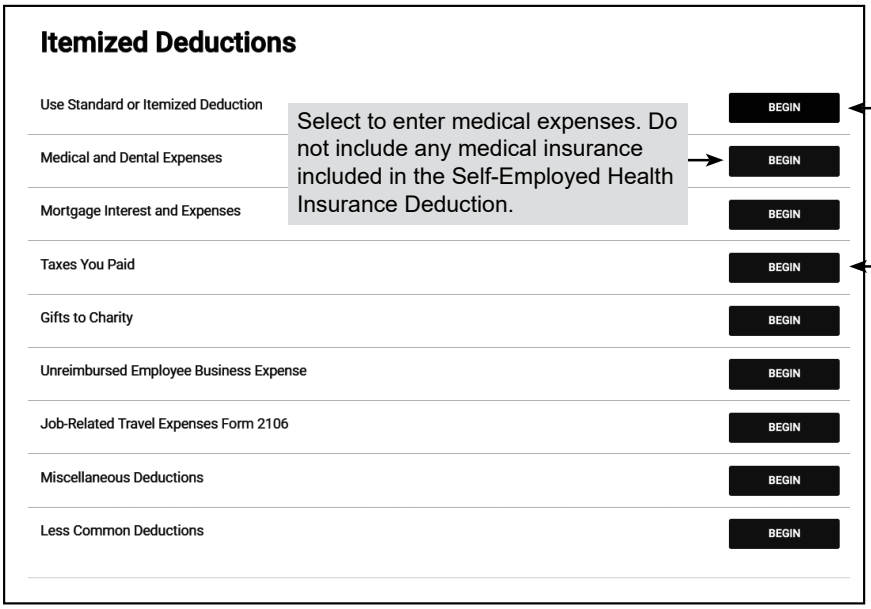
Note 2: For noncash donations less than $250, you are not required to have a receipt where it is impractical to get one (for example if you leave property at a charity's unattended drop site).

Note 3: For more details on charitable contributions, see Publication 526, Charitable Contributions. To search for qualified organizations see **IRS.gov/TEOS**.

Note 4: A Homeowner Assistance Fund (HAF) payment is a qualified disaster relief payment and is not included in the homeowner's gross income. Eligible homeowners who received a Homeowner Assistance Fund (HAF) payment may use a safe harbor to calculate the homeowner's itemized deduction for qualified mortgage interest expenses and/or qualified real property tax expenses, as applicable. See **Revenue Procedure 2021-47** details.

Schedule A – Itemized Deductions

TaxSlayer Navigation: Federal Section>Deductions>Itemized Deductions>Medical and Dental Expenses



Select to enter medical expenses. Do not include any medical insurance included in the Self-Employed Health Insurance Deduction.

If MFS and spouse itemizes, taxpayer must also itemize. Standard deduction can't be used. It doesn't matter which spouse files first. Select "Use Standard or Itemized Deduction" then select the option "Must itemize because spouse itemized."

Select to enter taxes not entered elsewhere in the software.

TIP Personal protective equipment, such as masks, hand sanitizer and sanitizing wipes, for the primary purpose of preventing the spread of coronavirus are deductible medical expenses. The cost of home testing for COVID-19 is also an eligible medical expense

Schedule A Deductible and Nondeductible Medical Expenses

You can include:

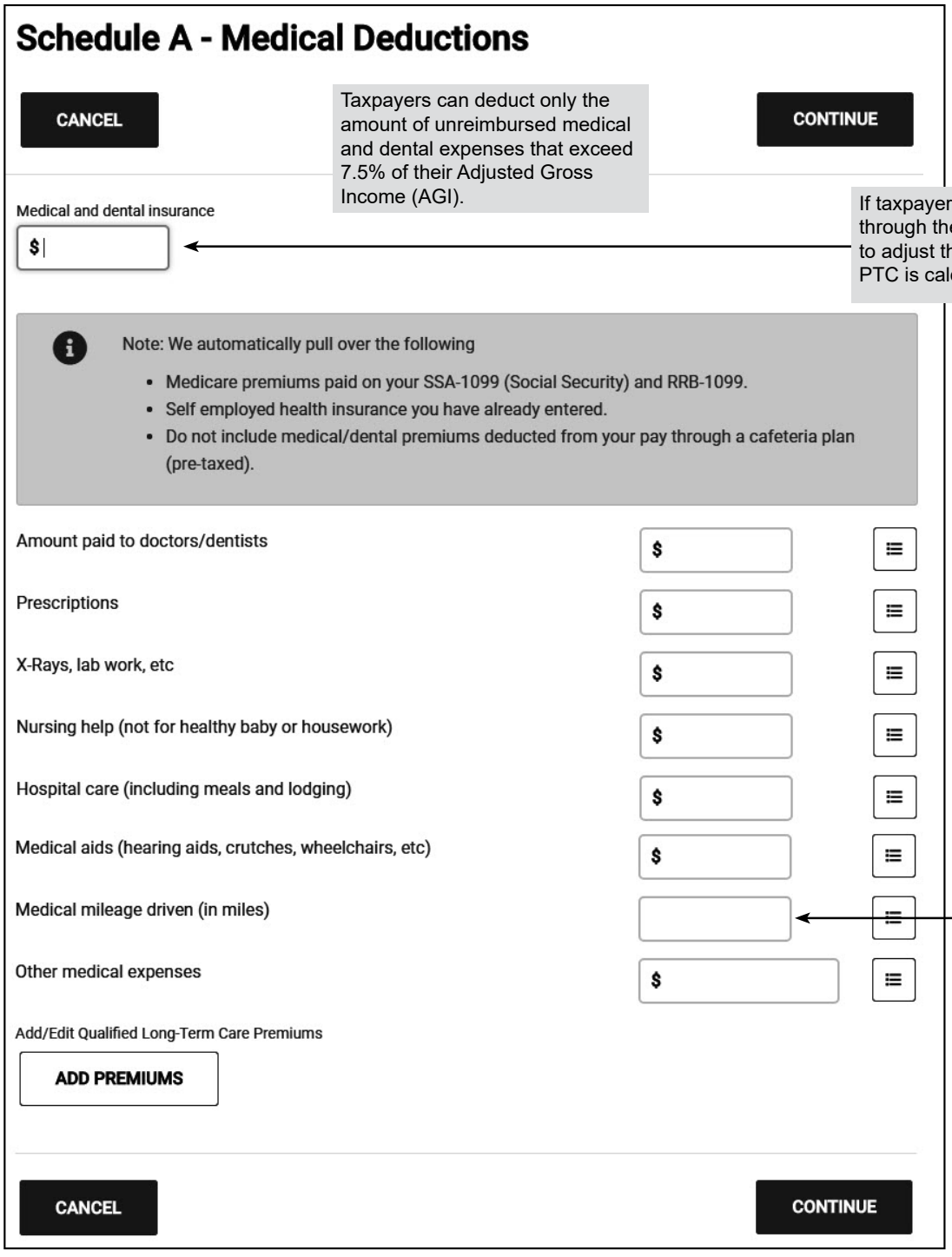
- Bandages
- Birth control pills prescribed by your doctor
- Body scan
- Braille books
- Breast pump and supplies
- Capital expenses for equipment or improvements to your home needed for medical care (see Worksheet A, Capital Expense Worksheet, in Pub. 502)
- Diagnostic devices
- Expenses of an organ donor
- Eye surgery (to promote the correct function of the eye)
- Fertility enhancement, certain procedures
- Guide dogs or other animals aiding the blind, deaf, and disabled
- Hospital services fees (lab work, therapy, nursing services, surgery, etc.)
- Lead-based paint removal
- Legal abortion
- Legal operation to prevent having children such as a vasectomy or tubal ligation
- Long-term care contracts, qualified
- Meals and lodging provided by a hospital during medical treatment
- Medical services fees (from doctors, dentists, surgeons, specialists, and other medical practitioners)
- Medicare Part D premiums
- Medical and hospital insurance premiums
- Nursing services
- Oxygen equipment and oxygen
- Part of life-care fee paid to retirement home designated for medical care
- Physical examination
- Pregnancy test kit
- Prescription medicines (prescribed by a doctor) and insulin
- Psychiatric and psychological treatment
- Social security tax, Medicare tax, FUTA, and state employment tax for worker providing medical care (see Wages for nursing services below)
- Special items (artificial limbs, false teeth, eyeglasses, contact lenses, hearing aids, crutches, wheelchair, etc.)
- Special education for mentally or physically disabled persons
- Stop-smoking programs
- Transportation for needed medical care
- Treatment at a drug or alcohol center (includes meals and lodging provided by the center)
- Wages for nursing services
- Weight loss, certain expenses for obesity

You can't include:

- Baby sitting and childcare
- Bottled water
- Contributions to Archer MSAs (see Pub. 969)
- Diaper service
- Expenses for your general health (even if following your doctor's advice) such as——Health club dues—Household help (even if recommended by a doctor)—Social activities, such as dancing or swimming lessons—Trip for general health improvement
- Flexible spending account reimbursements for medical expenses (if contributions were on a pre-tax basis)
- Funeral, burial, or cremation expenses
- Health savings account payments for medical expenses
- Operation, treatment, or medicine that is illegal under federal or state law
- Life insurance or income protection policies, or policies providing payment for loss of life, limb, sight, etc.
- Maternity clothes
- Medical insurance included in a car insurance policy covering all persons injured in or by your car
- Medicine you buy without a prescription
- Nursing care for a healthy baby
- Prescription drugs you brought in (or ordered shipped) from another country, in most cases
- Nutritional supplements, vitamins, herbal supplements, "natural medicines," etc., unless recommended by a medical practitioner as a treatment for a specific medical condition diagnosed by a physician
- Surgery for purely cosmetic reasons
- Toothpaste, toiletries, cosmetics, etc.
- Teeth whitening
- Weight-loss expenses not for the treatment of the treatment of obesity or other disease

CAUTION You can't include in medical expenses amounts you pay for controlled substances that aren't legal under federal law, even if such substances are legalized by state law.

Schedule A - Itemized Deductions (continued)



Taxpayers can deduct only the amount of unreimbursed medical and dental expenses that exceed 7.5% of their Adjusted Gross Income (AGI).

If taxpayer has medical insurance through the Marketplace, remember to adjust the total premium after the PTC is calculated.

To enter multiple expenses of a single type, click on the small calculator icon beside the line. Enter the first description, the amount, and Continue. Enter the information for the next item. They will be totaled on the input line and carried to Schedule A.

Enter number of miles. Standard mileage rate for medical purposes is 16 cents per mile.

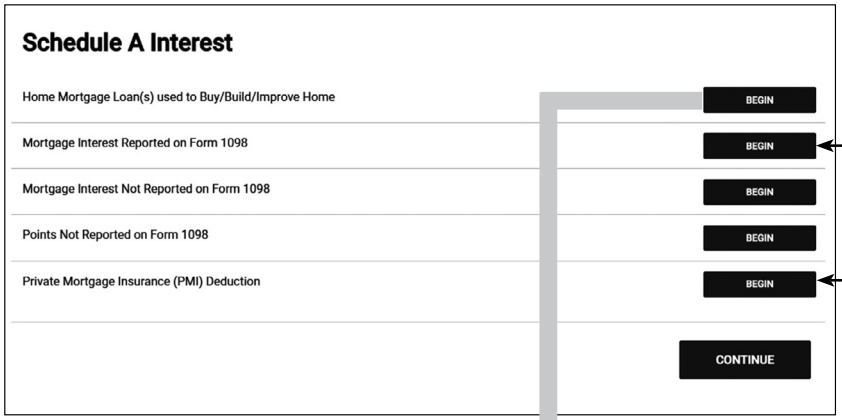
Qualified long-term care premiums up to the amounts shown below can be included as medical expenses on Schedule A, or in calculating the self-employed health insurance deduction.

- Age 40 or under: $450
- Age 41 to 50: $850
- Age 51 to 60: $1,690
- Age 61 to 70: $4,520
- Age 71 and over: $5,640

The limit on premiums is for each person.

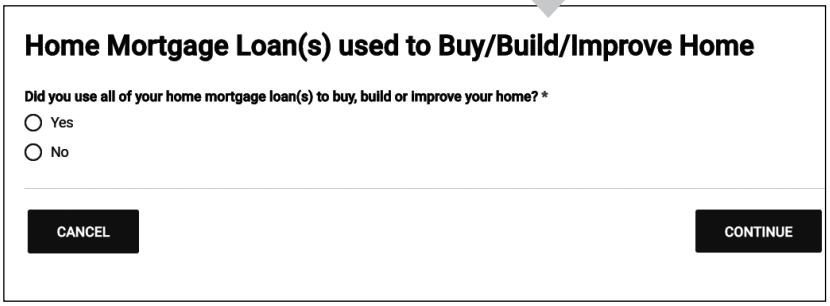
Note: Medical and dental floor percentage is 7.5%. Some senior residences (nursing homes) have an amount in the monthly cost which is a medical expense. Taxpayers can include in medical expenses the cost of medical care in a nursing home, home for the aged or similar institution. This includes the cost of meals and lodging if the principal reason for being there is to get medical care.

Schedule A - Itemized Deductions (continued)



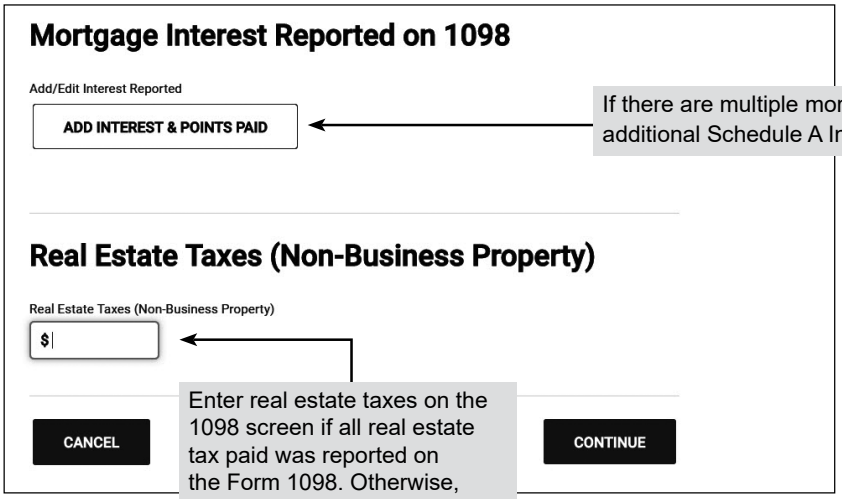
Select for mortgage interest reported on Form 1098. Enter amount from Form 1098, Box 1 (and Box 2, if applicable).

Private mortgage insurance premiums are deductible for 2021 and should be entered on the Schedule A Interest screen in TaxSlayer.



Note: The deduction for home equity debt is disallowed as a mortgage interest deduction unless the home equity debt was used to build, buy, or substantially improve the taxpayer's qualified residence.

Note: A reverse mortgage is a loan where the lender pays you (in a lump sum, a monthly advance, a line of credit, or a combination of all three) while you continue to live in your home. With a reverse mortgage, you retain title to your home. Depending on the plan, your reverse mortgage becomes due with interest when you move, sell your home, reach the end of a preselected loan period, or die. Because reverse mortgages are considered loan advances and not income, the amount you receive isn't taxable. Any interest (including original issue discount) accrued on a reverse mortgage is considered interest on home equity debt and isn't deductible.



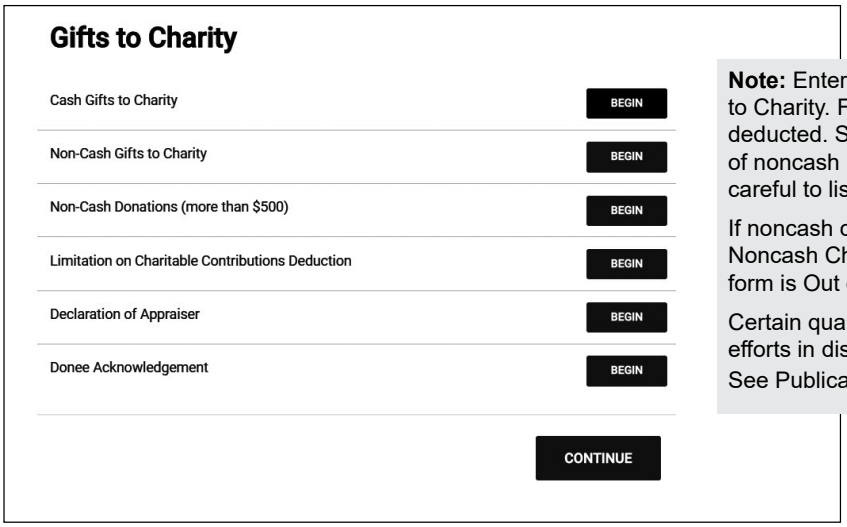
If there are multiple mortgages, make additional Schedule A Interest entries.

Enter real estate taxes on the 1098 screen if all real estate tax paid was reported on the Form 1098. Otherwise, enter on the Other Taxes Paid screen.

For mortgage acquisition debt secured after December 15, 2017, the amount of interest you can deduct is on no more than $750,000 of debt used to buy, build, or substantially improve your principal home and a second home ($375,000 in the case of married taxpayers filing separate tax returns) for tax years 2018 through 2025. If the taxpayer secured a mortgage for acquisition debt on or before December 15, 2017, the new tax law doesn't change the amount of the deductible mortgage interest. Deductible interest remains limited to mortgage interest on up to $1 million ($500,000 MFS).

Points from refinancing must be spread over the life of the mortgage unless used to remodel (see section in Publication 936, Home Mortgage Interest Deduction, labeled "Points"). Enter loan origination fee from closing statement as points not reported on Form 1098 if not included as points on Form 1098.

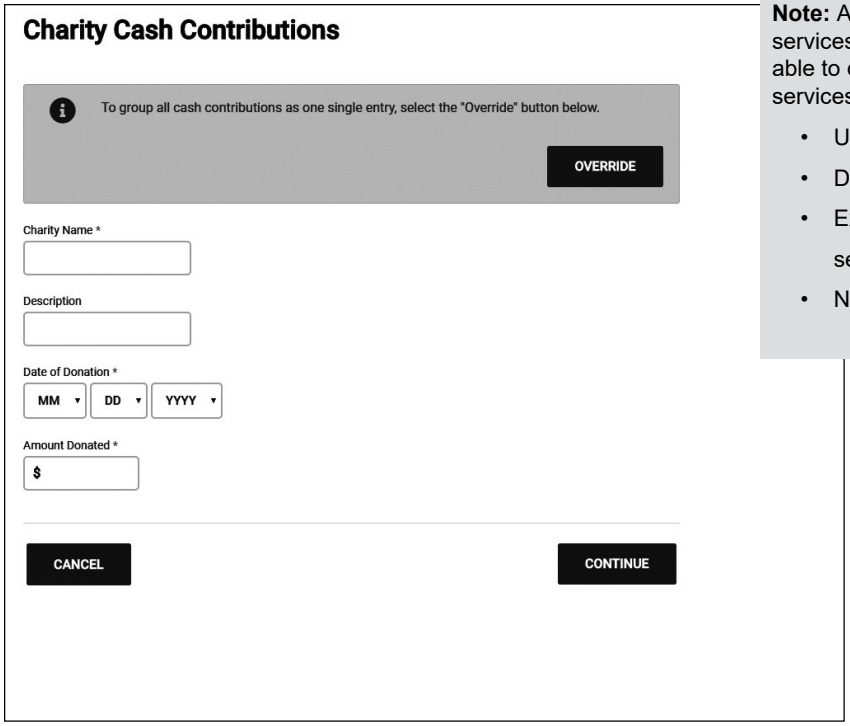
Schedule A - Itemized Deductions (continued)



Note: Enter amounts given by cash or check under Cash Gifts to Charity. For 2021 contributions up to 100% of AGI may be deducted. See Publication 526 for definitions. Enter the value of noncash items donated under Noncash Gifts to Charity. Be careful to list them separately.

If noncash contributions are greater than $500, Form 8283, Noncash Charitable Contributions must be completed and this form is Out of Scope (In Scope for Military certification).

Certain qualified contributions made for relief efforts in disaster areas are not subject to the AGI limitation. See Publication 976, Disaster Relief.



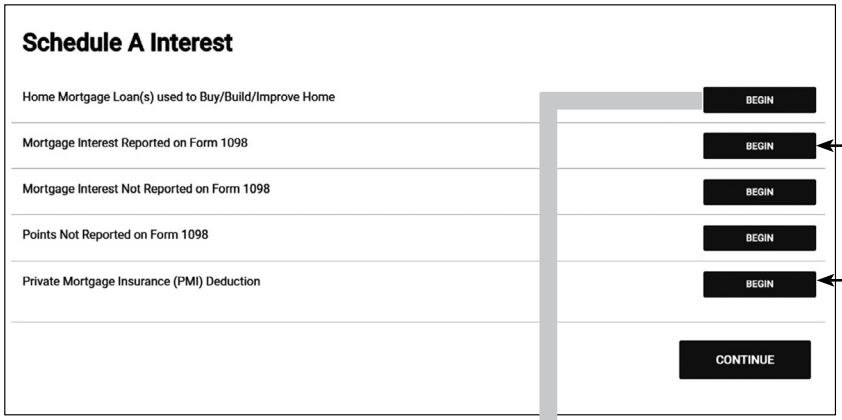
Note: Although you can't deduct the value of your services given to a qualified organization, you may be able to deduct some volunteer expenses you pay in giving services to a qualified organization. The amounts must be:

- Unreimbursed;
- Directly connected with the services;
- Expenses you had only because of the services you gave; and
- Not personal, living, or family expenses.

These types of donations are not deductible: political; country club/fraternal lodge; chambers of commerce; raffle, bingo, or lottery tickets; tuition; value of time/services; gifts to lobby groups; civic leagues, social clubs; labor unions, homeowners association dues.

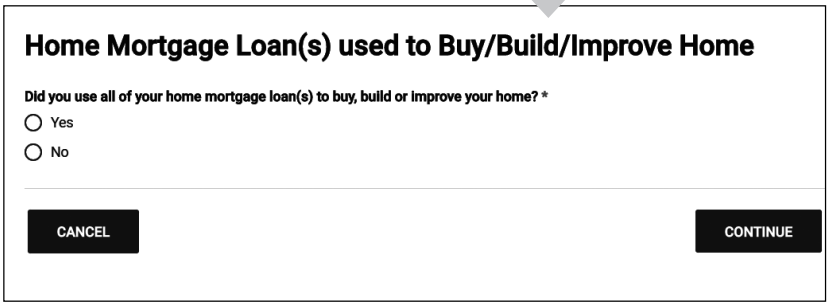
Note: The deduction for charitable contributions by taxpayers who do not itemize was modified by the Taxpayer Certainty and Disaster Tax Relief Act of 2020. For tax year 2021, married couples filing a joint return may deduct cash contributions up to $600 (all other filers are limited to $300). Cash contributions include those made by check, credit card or debit card as well as amounts incurred by an individual for unreimbursed out-of-pocket expenses in connection with the individual's volunteer services to a qualifying charitable organization. Cash contributions don't include the value of volunteer services, securities, household items or other property. Additionally, the deduction does not reduce adjusted gross income.

Schedule A - Itemized Deductions (continued)



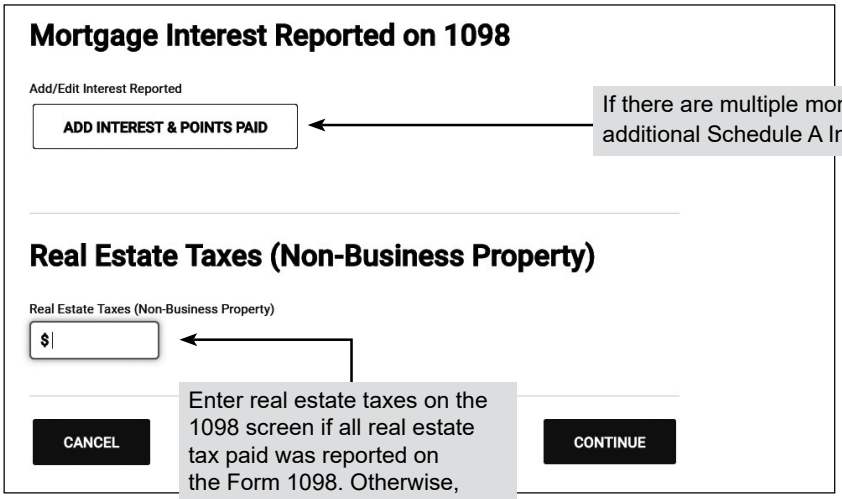
Select for mortgage interest reported on Form 1098. Enter amount from Form 1098, Box 1 (and Box 2, if applicable).

Private mortgage insurance premiums are deductible for 2021 and should be entered on the Schedule A Interest screen in TaxSlayer.



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Note: A reverse mortgage is a loan where the lender pays you (in a lump sum, a monthly advance, a line of credit, or a combination of all three) while you continue to live in your home. With a reverse mortgage, you retain title to your home. Depending on the plan, your reverse mortgage becomes due with interest when you move, sell your home, reach the end of a preselected loan period, or die. Because reverse mortgages are considered loan advances and not income, the amount you receive isn't taxable. Any interest (including original issue discount) accrued on a reverse mortgage is considered interest on home equity debt and isn't deductible.



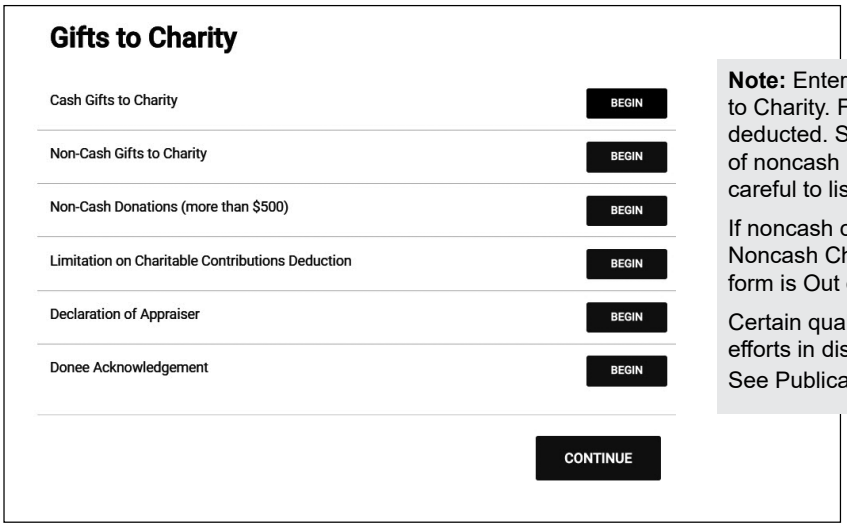
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For mortgage acquisition debt secured after December 15, 2017, the amount of interest you can deduct is on no more than $750,000 of debt used to buy, build, or substantially improve your principal home and a second home ($375,000 in the case of married taxpayers filing separate tax returns) for tax years 2018 through 2025. If the taxpayer secured a mortgage for acquisition debt on or before December 15, 2017, the new tax law doesn't change the amount of the deductible mortgage interest. Deductible interest remains limited to mortgage interest on up to $1 million ($500,000 MFS).

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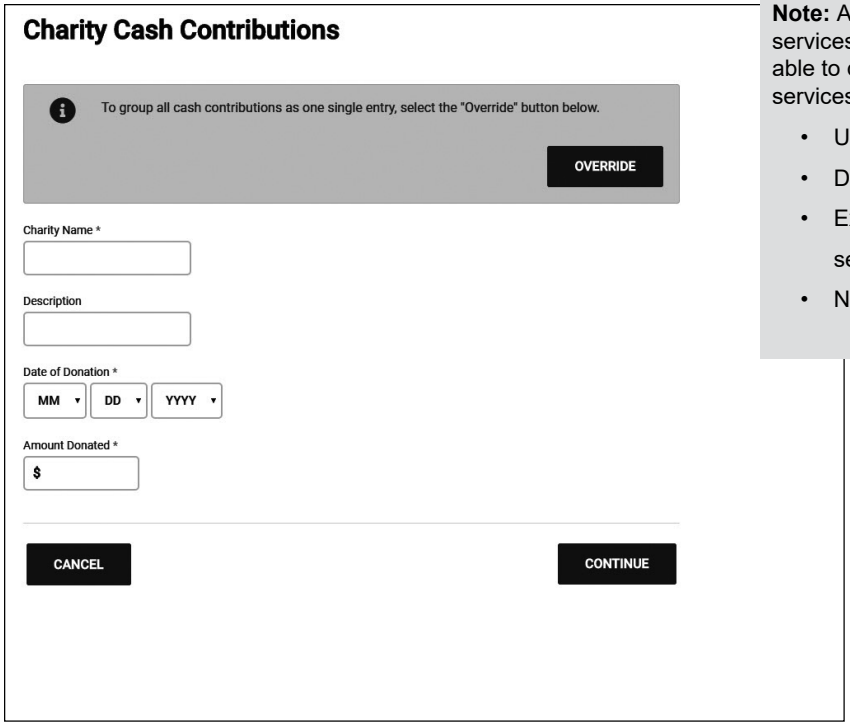
Schedule A - Itemized Deductions (continued)



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If noncash contributions are greater than $500, Form 8283, Noncash Charitable Contributions must be completed and this form is Out of Scope (In Scope for Military certification).

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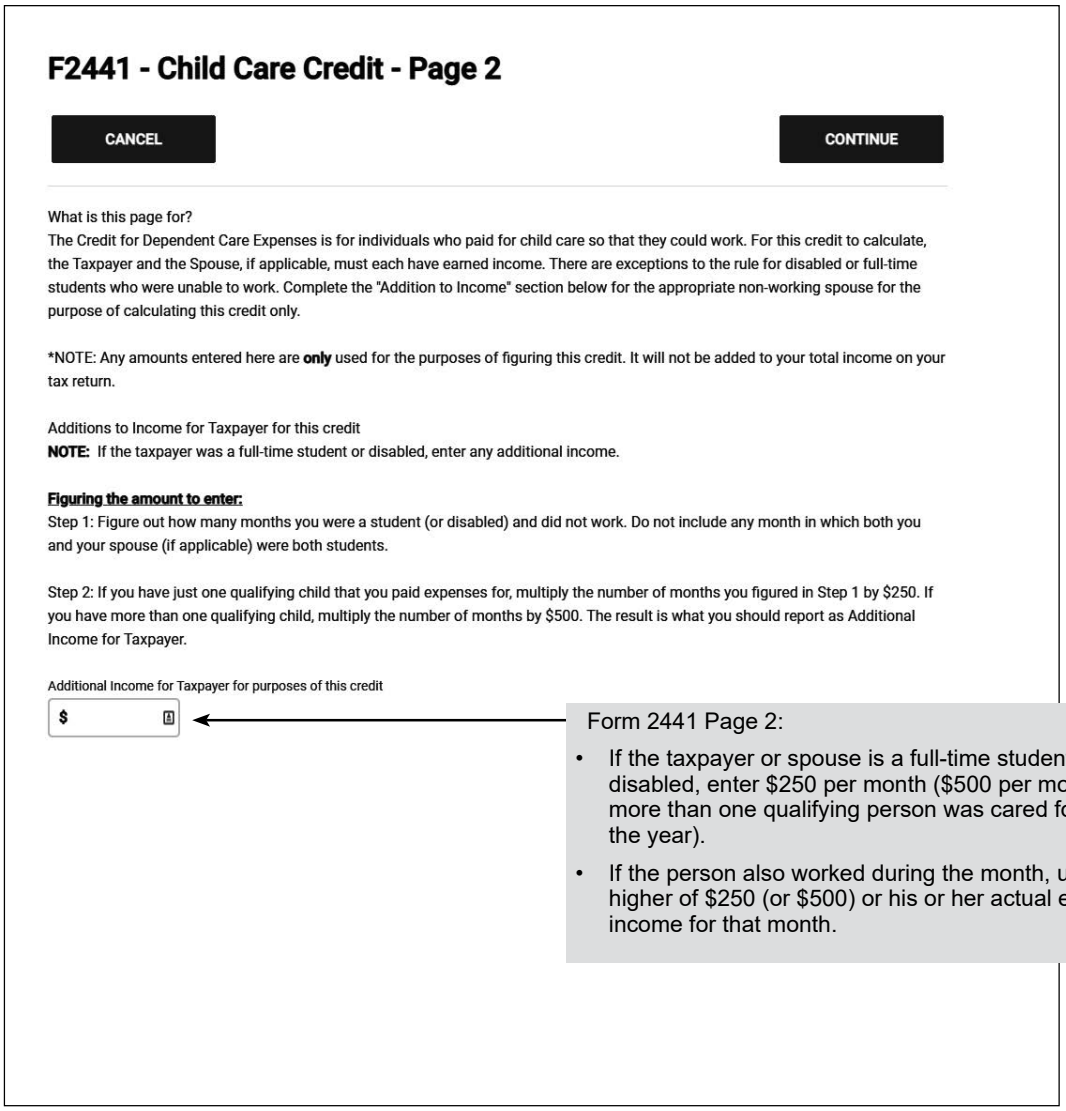
Note: Although you can't deduct the value of your services given to a qualified organization, you may be able to deduct some volunteer expenses you pay in giving services to a qualified organization. The amounts must be:

- Unreimbursed;
- Directly connected with the services;
- Expenses you had only because of the services you gave; and
- Not personal, living, or family expenses.

These types of donations are not deductible: political; country club/fraternal lodge; chambers of commerce; raffle, bingo, or lottery tickets; tuition; value of time/services; gifts to lobby groups; civic leagues, social clubs; labor unions, homeowners association dues.

Note: The deduction for charitable contributions by taxpayers who do not itemize was modified by the Taxpayer Certainty and Disaster Tax Relief Act of 2020. For tax year 2021, married couples filing a joint return may deduct cash contributions up to $600 (all other filers are limited to $300). Cash contributions include those made by check, credit card or debit card as well as amounts incurred by an individual for unreimbursed out-of-pocket expenses in connection with the individual's volunteer services to a qualifying charitable organization. Cash contributions don't include the value of volunteer services, securities, household items or other property. Additionally, the deduction does not reduce adjusted gross income.

Form 2441 – Credit for Child and Dependent Care Expenses (continued)



F2441 - Child Care Credit - Page 2

CANCEL CONTINUE

What is this page for?
The Credit for Dependent Care Expenses is for individuals who paid for child care so that they could work. For this credit to calculate, the Taxpayer and the Spouse, if applicable, must each have earned income. There are exceptions to the rule for disabled or full-time students who were unable to work. Complete the "Addition to Income" section below for the appropriate non-working spouse for the purpose of calculating this credit only.

*NOTE: Any amounts entered here are **only** used for the purposes of figuring this credit. It will not be added to your total income on your tax return.

Additions to Income for Taxpayer for this credit
NOTE: If the taxpayer was a full-time student or disabled, enter any additional income.

Figuring the amount to enter:
Step 1: Figure out how many months you were a student (or disabled) and did not work. Do not include any month in which both you and your spouse (if applicable) were both students.

Step 2: If you have just one qualifying child that you paid expenses for, multiply the number of months you figured in Step 1 by $250. If you have more than one qualifying child, multiply the number of months by $500. The result is what you should report as Additional Income for Taxpayer.

Additional Income for Taxpayer for purposes of this credit

$

Form 2441 Page 2:

- If the taxpayer or spouse is a full-time student or disabled, enter $250 per month ($500 per month if more than one qualifying person was cared for during the year).
- If the person also worked during the month, use the higher of $250 (or $500) or his or her actual earned income for that month.

Form 2441 – Credit for Child and Dependent Care Expenses (continued)

Additions to Income for Spouse for this credit
NOTE: If the spouse was a full-time student or disabled, enter any additional income.

Figuring the amount to enter:
Step 1: Figure out how many months your spouse was a student (or disabled) and did not work. Be sure to include any month in which both you and your spouse were students.

Step 2: If you have just one qualifying child that you paid expenses for, multiply the number of months you figured in Step 1 by $250. If you have more than one qualifying child, multiply the number of months by $500. The result is what you should report as Additional Income for Spouse.

Additional Income for Spouse for purposes of this credit
$

If the taxpayer is a surviving spouse and did not remarry, add $8,000.00 ($16,000.00 if there is more than one qualify child).

Benefits (Do not enter an amount from your W-2)
Employer-paid Dependent Care Benefits
$

Forfeited Employer-paid Benefits
$

Carryover Employer-paid Benefits
$

Benefits Received from Sole Proprietorship or Partnership
$

Did you pay any expenses for 2019 during 2020

○ Yes
○ No

Generally, married persons must file a joint return to claim the Child Care Credit. If your filing status is Married Filing Separately and all of the following apply, you are considered unmarried for purposes of claiming the credit on Form 2441:

- You lived apart from your spouse during the last 6 months of 2020.
- Your home was the qualifying person's main home for more than half of 2020.
- You paid for more than half of the cost of keeping up that home for 2020.

Are you considered unmarried for the purposes of this credit?

○ Yes

Select Yes if the taxpayer is MFS but can be considered unmarried for the purposes of claiming the credit.

○ No

CAUTION Only enter dependent care benefits not reported on a Form W-2

Note: Foreign earned income and the foreign housing exclusion are subtracted from wages when figuring the credit. Subtract any amount earned while incarcerated or on work release.

Note: Both spouses must have earned income in order to claim the credit. Complete the additions to income for taxpayer if the taxpayer or spouse was either a full-time student or disabled. If the taxpayer has a filing status of surviving spouse, you may, but aren't required to, take into account the earned income of your spouse who died during the year.

Retirement Savings Contributions Credit – Screening Sheet

To determine if a taxpayer qualifies for the Credit for Qualified Retirement Savings Contributions, review the return information and ask the taxpayer the following:

step 1	Did you make a voluntary contribution or deferral to an IRA or other qualified plan for 2021?[1]	**YES** – Go to Step 2 **NO** – Not qualified for credit
step 2	Is AGI $33,000 or less ($49,500 if head of household, $66,000 if married filing jointly)?	**YES** – Go to Step 3 **NO** – Not qualified for credit
step 3	Were you born before January 2, 2004?	**YES** – Go to Step 4 **NO** – Not qualified for credit
step 4	Are you being claimed as a dependent on someone else's tax return for 2021?	**YES** – Not qualified for credit **NO** – Go to Step 5
step 5	Were you a full-time student[2] during 2021?	**YES** – Not qualified for credit **NO** – Qualified for credit

Footnotes

[1] Plans that qualify are listed on Form 8880. Answer yes if the taxpayer will make a qualifying IRA contribution for tax year 2021 by the due date of the return.

[2] You were a student if during any part of 5 calendar months of 2021 you:
- Were enrolled as a full-time student at a school, or
- Took a full-time, on-farm training course given by a school* or a state, county, or local government agency.

*A school includes technical, trade and mechanical schools. It does not include on-the job training courses, correspondence schools, or schools offering courses only through the Internet.

Important Reminders for Retirement Savings Contributions Credit

- Be sure to look at the taxpayer's Form(s) W-2. An entry in box 12 or an "X" in the Retirement box is an indicator that the taxpayer may be eligible for this credit. A full description of all codes used in box 12 can be found in Instructions for Forms W-2 and W-3, Transmittal of Wage and Tax Statements.
- An entry in box 14 on the Form W-2 may also indicate a contribution to a state retirement system. In TaxSlayer, if the contribution qualifies, from the drop down menu in Box 14 of Form W-2, select **Retirement (Not in Box 12) Carry to Form 8880**. If these are treated as employer contributions they aren't eligible for the credit. See Instructions for Form W-2.
- If the taxpayer seems to qualify for the credit, be sure to visit the Form 8880 entry screen in the Credits Menu and address any necessary questions there.
- A contribution to a Traditional or Roth IRA qualifies for this credit, but may not appear on any taxpayer document. Remember to review the expenses section on page 2 of the Form 13614-C, Intake/Interview & Quality Review Sheet, and ask taxpayers if they made any IRA contributions.
- Some distributions reduce the eligible contributions for this credit. In addition to distributions for the current year as shown on Forms 1099-R, Distributions From Pensions, Annuities, Retirement or Profit-Sharing Plans, IRAs, Insurance Contracts, etc., be sure to ask about distributions from the two prior years or between January 1 and the tax filing deadline.
- See a list of distributions later in this tab that don't reduce the eligible contributions for this credit.
- Form 8880, Credit for Qualified Retirement Savings Contributions, is used to claim this credit.
- If taxpayer (or spouse if MFJ) is a full-time student, be sure to mark it in the Personal Information Section in the software. This credit is not available to full-time students.

Retirement Savings Contributions Credit (continued)

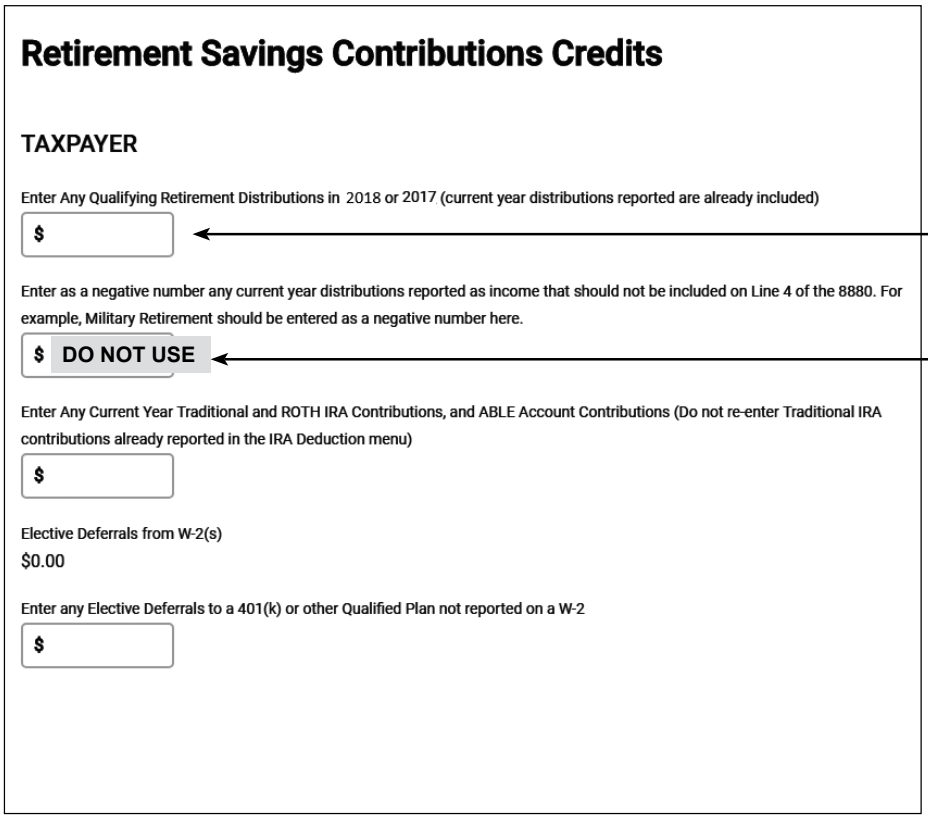
TaxSlayer Navigation: Federal Section>Deductions>Credits Menu>Retirement Savings Credit; or Keyword “8880”

Open the Retirement Savings Contributions Credits screen if the taxpayer meets eligibility criteria and any of the following are true:

1. The taxpayer(s) make a Traditional IRA or a Roth IRA contribution before the filing deadline.
2. The taxpayer or spouse’s Form W-2 includes:
   - Box 12 entries of D, E, F, G, H, S, AA, BB
   - Box 14 amounts that are voluntary retirement contributions or marked as “Qualifies for Form 8880”
3. The designated beneficiary of an Achieving a Better Life Experience (ABLE) account made a contribution to their ABLE account.

Verify total contribution amounts with the taxpayer. Total IRA contributions cannot exceed the lesser of total compensation or the annual limit. See Tab E, Adjustments for limits.

CAUTION Internal Revenue Code Section 414(h)(2) provides that any plan established by a governmental unit, where the contributions of employing units are designated employee contributions, but the employer “picks up” the contributions, the contributions are treated as employer contributions, not voluntary contributions made by the employee. They do not qualify for the credit.



Note: Certain distributions received after 2018 and before the due date (including extensions) of your 2021 tax return from any of the following types of plans are subtracted from contributions:

- Traditional or Roth IRAs
- 401(k), 403(b), governmental 457, 501(c)(18)(D), SEP, or SIMPLE plans
- Qualified retirement plans (including the federal Thrift Savings Plan).

Distributions entered on Form 1099-R will be calculated by the software. Any other distributions from the 2 prior years or between January 1 and the tax filing deadline must be entered manually where indicated.

TaxSlayer cannot identify which current tax year distributions are relevant, so it automatically reports all tax year distributions. If one of these distributions is listed on the following page as a distribution that should not be included (e.g., military pensions), go to the Form 1099-R entry screen for that distribution and check the box labeled "Does not qualify for Form 8880."

Credits for Sick Leave and Family Leave for Certain Self-Employed Individuals

Eligible self-employed individuals are allowed an income tax credit equal to their "qualified sick leave equivalent amount" or "qualified family leave equivalent amount." Note that the American Rescue Plan Act of 2021, enacted March 11, 2021, amended and extended the tax credits for sick and family leave for certain self-employed individuals with respect to the period beginning April 1, 2021, and ending on September 30, 2021. Changes applicable to April 1-September 30 are noted below.

Form 7202, Credits for Sick Leave and Family Leave for Certain Self-Employed Individuals, is used by self-employed individuals to figure these credits.

- Part I figures the credit for sick leave for certain self-employed individuals for the period from January 1 through March 31, 2021. In this section, the number of days claimed are reduced by any days claimed on the 2020 tax return.
- Part II figures the credit for family leave for certain self-employed individuals for the period from January 1 through March 31, 2021. In this section, the number of days claimed are reduced by any days claimed on the 2020 tax return.
- Part III figures the credit for sick leave for certain self-employed individuals for the period from April 1 through September 30, 2021. Days claimed in this section are not reduced by any previously claimed.
- Part IV figures the credit for family leave for certain self-employed individuals for the period from April 1 through September 30, 2021. Days claimed in this section are not reduced by any previously claimed.

These credits will be included on Schedule 3 (Form 1040). There will be two lines for these credits. One line will show the credit amount for leave taken through March 31, 2021 and the other line will show the credit amount for leave taken April 1 through September 30, 2021. Form 7202 is filed separately by each taxpayer with net self-employment earnings, so a joint tax return may have two Forms 7202 attached.

How is the "qualified sick leave equivalent amount" for an eligible self-employed individual calculated?
For an eligible self-employed individual who is unable to work or telework because the individual:

1. Is under Federal, State, or local quarantine or isolation order related to COVID-19;
2. Has been advised by a health care provider to self-quarantine due to concerns related to COVID-19; or
3. Is:
   a. experiencing symptoms of COVID-19 and seeking a medical diagnosis, or
   b. seeking or awaiting the results of a diagnostic test for, or a medical diagnosis of, COVID-19 and the employee has been exposed to COVID-19 or the employee's employer has requested the test or diagnosis, (For dates after March 31, 2021 and through September 30, 2021), or
   c. obtaining immunization related to COVID–19 or recovering from any injury, disability, illness, or condition related to the immunization; (For dates after March 31, 2021 and through September 30, 2021),

the qualified sick leave equivalent amount is equal to the number of days during the taxable year that the individual cannot perform services in the applicable trade or business for one of the three above reasons, multiplied by the lesser of $511 or 100 percent of the "average daily self-employment income" of the individual for the taxable year or the prior taxable year.

For an eligible self-employed individual who is unable to work or telework because the individual:

1. Is caring for an individual who is subject to a Federal, State, or local quarantine or isolation order related to COVID-19, or has been advised by a health care provider to self-quarantine due to concerns related to COVID-19;
2. Is caring for a child if the child's school or place of care of the child has been closed, or the childcare provider of the child is unavailable, due to COVID-19 precautions; or
3. Is experiencing any other substantially similar condition such as:
   - to accompany an individual to obtain immunization related to COVID-19, or
   - to care for an individual who is recovering from any injury, disability, illness, or condition related to the immunization,

the qualified sick leave equivalent amount is equal to the number of days during the taxable year that the individual cannot perform services in the applicable trade or business for one of the three above reasons, multiplied by the lesser of $200 or 67 percent of the "average daily self-employment income" of the individual for the taxable year or the prior taxable year. In either case, the maximum number of days a self-employed individual may take into account in determining the qualified sick leave equivalent amount cannot exceed 10 days.

Credits for Sick Leave and Family Leave for Certain Self-Employed Individuals (continued)

How is the "qualified family leave equivalent amount" for an eligible self-employed individual calculated?
The qualified family leave equivalent amount with respect to an eligible self-employed individual is an amount equal to the number of days during the taxable year that the self-employed individual cannot perform services for which that individual would be entitled to paid family leave, (if the individual were employed by an Eligible Employer (other than himself or herself)), such as periods during which they are unable to work or telework due to a need for leave to care for their child if the child's school or place of care has been closed, or because the child care provider of the child is unavailable, due to COVID-19 related reasons, multiplied by the lesser of two amounts: (1) $200, or (2) 67 percent of the average daily self-employment income of the individual for the taxable year.

Up to 50 days of qualifying leave can be counted toward the Family Leave Credit for the period from January 1 through March 31, 2021. Up to 60 days of qualifying leave can be counted toward the Family Leave Credit for the period from April 1 through September 30, 2021. This can be combined with the sick leave credit, so a taxpayer could be entitled to a credit for pay for up to 12 (or 14 for the period from April 1 through September 30, 2021) weeks – 2 weeks of sick leave and 10 weeks (or 12 weeks for the period from April 1 through September 30, 2021) of family leave. These amounts are limited if the taxpayer also took Families First Coronavirus Response Act family and sick leave as an employee. Employers other than federal government employers, are required to report these amounts either on Form W-2, Box 14, or on a separate statement.

See Form 7202 and instructions for information on calculations.

See the FAQs below for additional information.

- For dates from January 1 through March 31, 2021 see **Tax Credits for Paid Leave Under the Families First Coronavirus Response Act for Leave Prior to April 1, 2021**

- For dates from April 1 through September 30, 2021 see **Tax Credits for Paid Leave Under the American Rescue Plan Act of 2021: Specific Provisions Related to Self-Employed Individuals**

Note: Average daily self-employment income is an amount equal to the net earnings from self-employment for the taxable year, or prior taxable year, divided by 260. A taxpayer's net earnings from self-employment are based on the gross income that the individual derives from the taxpayer's trade or business minus ordinary and necessary trade or business expenses.

Completing the e-File Section

TaxSlayer made significant changes to the e-file section of the application after this publication was printed. See the **VITA/TCE Blog** for explanation and illustration of the changes that replace pages K-1 through K-5..

e-File Process

When all the data has been entered, complete the e-file section. The return should not be filed (e-filed or as a paper return) until the e-file section has been completed. All required entries per section must be completed before saving and exiting the section. This is consistent with how the preparer navigates the entry pages in the return.

Return Type

Tax Preparation and e-File Information

State Return(s)

Taxpayer Bank Account Information

Third Party Designee Info

Questions

Consent to Disclose Tax Return Information to VITA/TCE Tax Preparation Sites (Global Carryforward)

Request for Taxpayer Consent to Disclose Tax Return Information

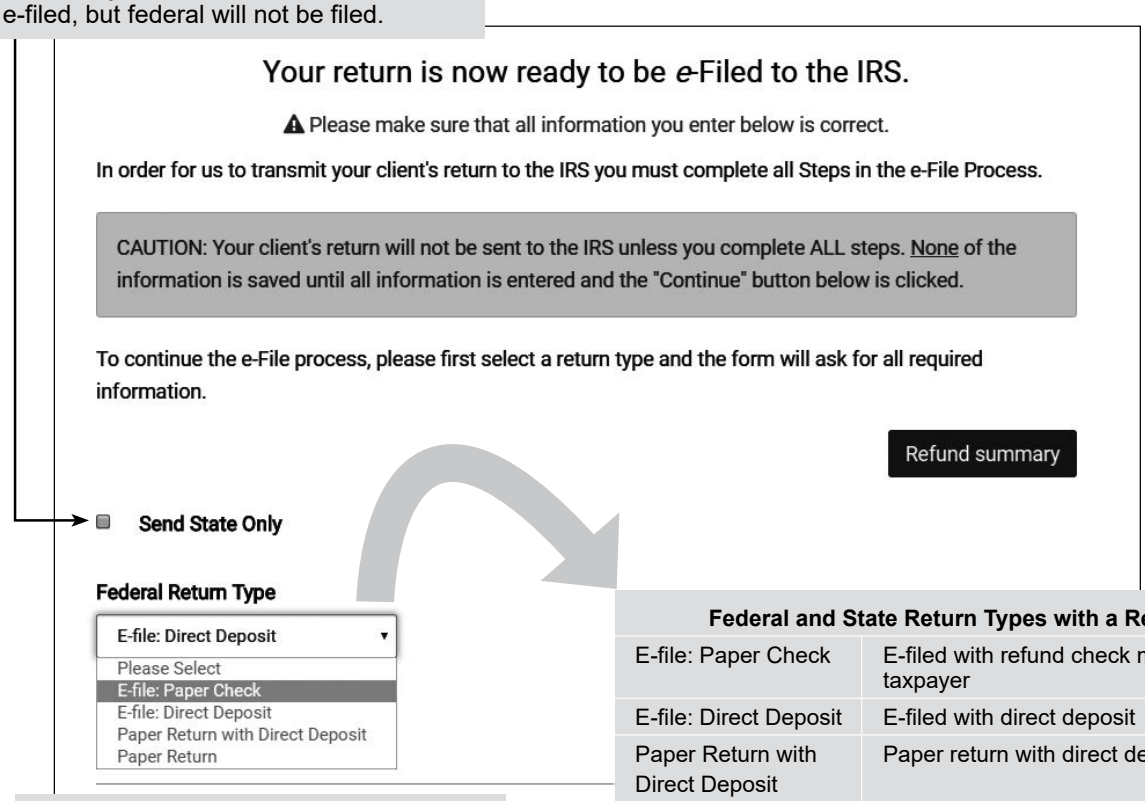
Request for Taxpayer Consent to Use Tax Return Information

State ID (Optional) (Shows only if there is a state return)

Federal Return Type

Select type of federal return. The drop down options for a balance due return differ from those for a return with a refund. Most states may require the federal return be e-filed before the state e-filed return can be electronically processed. TaxSlayer will wait until the federal return is accepted and then transmit state returns.

Apply your State Refund. Select the Send State Only box if the state return is to be e-filed, but federal will not be filed.



To apply a federal refund towards next year's taxes open Federal>Payments and Estimates>Apply Payments to Next Year's Taxes.

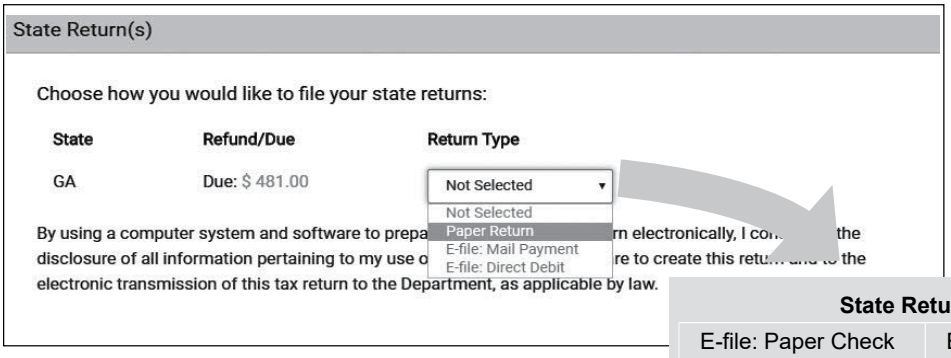
To apply state refund to next year's state taxes, go to State>Payments>Apply your State Refund.

Federal and State Return Types with a Refund	
E-file: Paper Check	E-filed with refund check mailed to taxpayer
E-file: Direct Deposit	E-filed with direct deposit
Paper Return with Direct Deposit	Paper return with direct deposit
Paper Return	Paper return with check mailed to taxpayer
Federal and State Return Types with an Amount Owed	
Mail Payment	E-filed without direct debit
Direct Debit	E-file with direct debit
Paper Return	Paper return with check included

Completing the e-File Section (continued)

State Return(s)

Enter type of state return



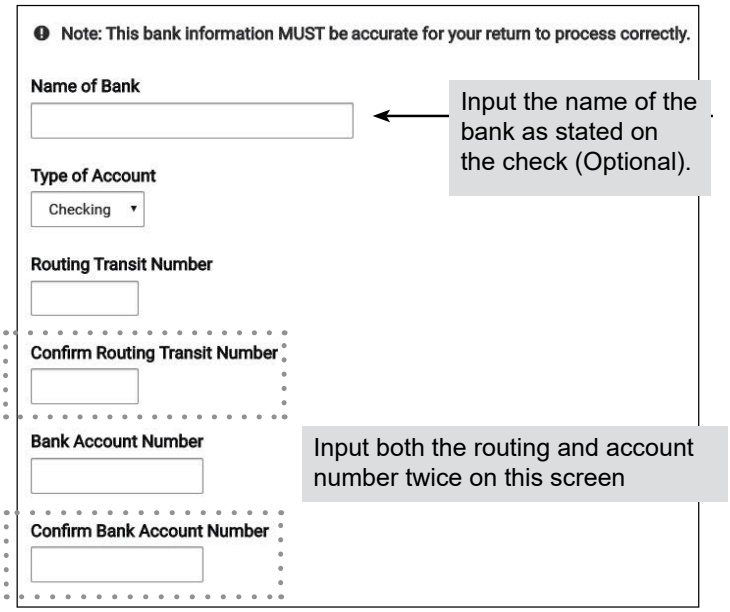
If the state return is marked as Paper and the federal return is e-filed, confirm this is the correct choice and not a mistake.

State Return Types with a Refund	
E-file: Paper Check	E-filed with refund check mailed to taxpayer
E-file: Direct Deposit	E-filed with direct deposit
Paper Return with Direct Deposit	Paper return with direct deposit
Paper Return	Paper return with check mailed to taxpayer
State Return Types with an Amount Owed	
Mail Payment	E-filed without direct debit
Direct Debit	E-file with direct debit
Paper Return	Paper return with check included

Taxpayer Bank Account Information

If direct deposit or direct debit is selected for either federal or state return, the Taxpayer Bank Account Information screen will appear.

In this section, the preparer inputs the bank routing and account number for direct deposit of refund or automatic withdrawal of balance due.



Re-loadable Prepaid Bank Cards:

The taxpayer must provide the routing number and account number for the card so that it can be entered on thebank information screen.

Note: See Pointers for Direct Deposit of Refunds later in this tab.

CAUTION Use written or electronic account information from the financial institution.

Prior Year Returns

Who can prepare prior year returns?
Sites are encouraged to prepare prior year returns if they have the required technical resources described below. Prior year returns may only be prepared and reviewed when the tax topics are within scope for VITA/TCE and within the volunteers' current levels of training and certification. They don't need to be certified in the actual prior year. Determining the certification level of the return is described below in Getting Started.

Getting Started:

- TaxSlayer only provides software for the 5 years prior to the current tax year.
- A current year Form 13614-C, Intake/Interview and Quality Review Sheet, must be completed for each prior year and will be used to determine the scope and certification level of each return.
- Taxpayers with Out of Scope returns should be advised to seek assistance from a professional tax preparer.
- Assign prior year returns to experienced volunteers if at all possible.
- Direct deposit or debit isn't available for prior year returns. IRS will mail refund checks to the address on the prior year return.



Taxpayers can't retroactively claim some tax credits with newly issued tax ID numbers.

As of December 2015 (PATH Act), taxpayers can no longer:

- File a prior year return claiming EITC on the basis of newly issued Social Security numbers (SSNs) for themselves and/or qualifying dependent(s).
- File a prior year return claiming American Opportunity Tax Credit on the basis of newly issued SSNs, Individual Taxpayer Identification Numbers (ITINs) or Adoption Taxpayer Identification Numbers (ATINs) for themselves and/or qualifying student(s).
- File a prior year return claiming Additional Child Tax Credit on the basis of newly issued SSNs, ITINs, or ATINs for themselves and/or qualifying child.

Technical Resources:

The following tools are useful resources:

- Prior year return tax preparation software.
  a. TaxSlayer Pro® Online users can access the prior year software from the home page.
  b. Desktop sites will need to download and install the prior year software from the TaxSlayer website. Sites will use their current EFIN and setup the software as usual. No registration codes are needed with TaxSlayer.
- Applicable Publication 17, Your Federal Income Tax for Individuals, Publication 4012, VITA/TCE Volunteer Resource Guide, and Quality Site Requirement Alerts/Volunteer Tax Alerts (available on the IRS website).
- Forms 13614-C from prior years are helpful. Sites may keep hard copies or rely on electronic copies.
- Taxpayer's Wage and Income Transcripts from their IRS records are extremely useful.

Note: For transcripts, taxpayers can go to the IRS website, Keyword "Transcript", register, and secure transcripts online if they have email and can comply with enhanced verification. Taxpayers can also request transcripts to be mailed to the address on file which takes 5 to 10 calendar days for delivery. In addition, taxpayers can request a transcript via Form 4506-T, Request for Transcript of Tax Return, or by calling 1-800-908-9946.

Transcripts ordered online will be masked (redacted). Without EINs, the return cannot be e-filed. EXCEPTION: An unmasked wage and income transcript can be provided to the taxpayer when needed for preparing and filing a return. Only the taxpayer, or the taxpayer's authorized representative, or the authorized individual for the decedent can make the request. **The unmasked wage and income transcript can only be mailed to the taxpayer's address of record**, or to the authorized individual for the decedent; it cannot be faxed. An unmasked transcript may also be provided to a taxpayer (or representative) by requesting it in person at a Taxpayer Assistance Center (TAC). Appointments are required. To find a local TAC office near you, go to IRS.gov, Keyword "Local Office," or refer to Tab P, Partner Resources, for telephone number.

Prior Year Returns (continued)

- Prior year publications and instructions to forms and schedules are available on the IRS website.
- Use the online tool Interactive Tax Assistance (ITA) for answers to many current and prior year tax law questions. ITA is available on the IRS website.

Whether to e-file or mail prior year returns:

Only the two most current prior years can be e-filed. Older prior year returns must be mailed to the appropriate IRS address from the list in Tab P, Partner Resources, “Where to File” page. Also, refer to Tab K, Finishing the Return, for additional information regarding balance due returns and payment options.

Expired Tax Topics and Other Issues Applicable to Prior Years:

Refer to the Publication 17, Your Federal Income Tax For Individuals, for the applicable tax year and review the “What’s New” section.

What if a site cannot prepare a requested prior year return?

If possible, refer the taxpayer to other VITA/TCE sites that offer prior year return service. Otherwise, advise the taxpayer to seek assistance from a paid tax preparer.

Note: Don’t refer taxpayers to their local IRS Taxpayer Assistance Center because they no longer prepare tax returns for individuals.

Record Keeping:

Generally, taxpayers must file a claim for a credit or refund within 3 years after the date the original return was filed or within 2 years after the date the tax was paid, whichever is later. Returns filed before the due date (without regard to extensions) are considered filed on the due date (even if the due date was a Saturday, Sunday, or legal holiday). In some cases of unreported income, the IRS has up to 6 years from date of filing to assess additional taxes.

Keep records relating to property until the period of limitations expires for the year in which you dispose of the property in a taxable disposition. See Publication 550, Investment Income and Expenses, for details. TaxSlayer is available for three prior years only. State rules may differ.

Taxpayer Civil Rights

The Department of the Treasury-Internal Revenue Service will not tolerate discrimination based on race, color, national origin (including limited English proficiency), disability, reprisal, sex (in education programs or activities) or age in programs or activities receiving federal financial assistance from the Internal Revenue Service.

Persons with disabilities and/or limited English proficiency should be able to participate in or benefit from programs and services that IRS supports. Taxpayers with a disability may request a reasonable accommodation and taxpayers with limited English proficiency may request language assistance to access service. For additional information refer to Publication 4053, Your Civil Rights Are Protected, for reasonable accommodation.

If a taxpayer believes that he or she has been discriminated against, a written complaint should be sent to:

Internal Revenue Service
Civil Rights Unit
1111 Constitution Avenue, NW, Room 2413
Washington DC 20224

Email **edi.civil.rights.division@irs.gov**

Do not send tax returns, payments or other non-civil rights information to this address.

Low Income Taxpayer Clinics (LITCs) - Assistance with Tax Problems

Has your taxpayer received a letter from the IRS or has their federal refund been offset? An LITC may be able to help.

What are LITCs? LITCs are organizations that represent and advocate for taxpayers who have tax problems with the IRS. They are independent from the IRS and the Taxpayer Advocate Service (TAS). LITC tax professionals offer services for free or a small fee.

Who can receive LITC help? Taxpayers whose incomes are below a certain level may be eligible for assistance (generally not to exceed 250% of the federal poverty level). Up to 10% of the cases accepted by an LITC may include taxpayers who have income above 250% of the poverty level. For this reason, it is often best to refer a taxpayer and allow the clinic to make the eligibility determination.

What issues can LITCs help with? LITCs can help with many federal tax issues, e.g., making payments or requesting collection alternatives like currently not collectible or offer in compromise, helping to gather proof to show eligibility for tax exemptions and credits such as the Earned Income Tax Credit, obtaining tax refunds that were stolen due to identity theft, and appealing IRS decisions. Individual taxpayers include self-employed taxpayers or individual tax debt even if it is related to operation of a business. LITCs may also help with taxpayers who have both a federal tax dispute and related state and local tax disputes. In addition, LITCs can provide information about taxpayer rights and responsibilities in different languages for individuals who speak English as a second language.

Where are LITCs located? To find the closest LITC or learn more about LITCs, visit **https://www.taxpayeradvocate.irs.gov/about-us/low-income-taxpayer-clinics-litc/** or download IRS **Publication 4134**, Low Income Taxpayer Clinic List, at **www.irs.gov**

Taxpayers can also get this publication by calling the IRS toll-free at 800-TAX-FORM (800-829-3676).

Note: Your site can order printed copies of Publication 4134 to keep on hand and you can contact your local LITCs and request copies of their brochures or business cards.

Taxpayer Advocate Service is Here to Help You

What is the Taxpayer Advocate Service?

The Taxpayer Advocate Service (TAS) is an **independent** organization within the Internal Revenue Service (IRS) that helps taxpayers and protects taxpayer rights. TAS strives to ensure that every taxpayer is treated fairly and that you know and understand your rights under the Taxpayer Bill of Rights.

What can TAS do for you?

TAS can help you if your tax problem is causing a financial difficulty, you've tried and been unable to resolve your issue with the IRS, or you believe an IRS system, process, or procedure just isn't working as it should. And the service is free. If you qualify for our assistance, you will be assigned to one advocate who will work with you throughout the process and will do everything possible to resolve your issue. TAS can help you if:

- Your problem is causing financial difficulty for you, your family, or your business.
- You face (or your business is facing) an immediate threat of adverse action
- You've tried to contact the IRS, but no one has responded, or the IRS hasn't responded by the date promised.

How can you reach TAS?

TAS has offices in every state, the District of Columbia, and Puerto Rico. To find your advocate's number:

- Go to **www.taxpayeradvocate.irs.gov/contact-us**;
- Download **Publication 1546, Taxpayer Advocate Service - We Are Here to Help You** available at **www.irs.gov/forms-pubs**. If you do not have internet access, you can call the IRS toll-free at 800-TAX-FORM (800-829-3676) and ask for a copy of Publication 1546;
- Check your local directory; or
- Call TAS toll-free at 877-777-4778.

How can you learn about your taxpayer rights?

The Taxpayer Bill of Rights describes ten basic rights that all taxpayers have when dealing with the IRS. The TAS website **www.taxpayeradvocate.irs.gov** can help you understand what these rights mean to you and how they apply. These are **your** rights. Know them.

How else does the Taxpayer Advocate Service help taxpayers?

TAS works to resolve large-scale problems that affect many taxpayers. If you know of one of these broad issues, please report it to us at **https://www.irs.gov/sams**. Be sure to not include any personal taxpayer information.

Information for Volunteers

TaxSlayer	
TaxSlayer Volunteer Support	1-800-421-6346 (Do not give to the public)
TaxSlayer via E-Mail	**support@vita.taxslayerpro.com**

Prior Year Return Access	
Current and 5 previous years accessible from one URL	**https://vita.taxslayerpro.com**

Internal Revenue Service	
VITA/TCE Hotline for tax law questions (volunteer use only)	1-800-829-8482 (800-TAX-VITA) **January 24, 2022 - April 19, 2022** **Monday - Friday 7:00 AM – 7:00 PM** No service on Saturdays
IRS e-file Help Desk	1-866-255-0654
Identity Theft Unit	1-800-908-4490
Taxpayer Assistance Centers	1-844-545-5640
Quality and Volunteer Tax Alerts	**https://www.irs.gov/individuals/quality-and-tax-alerts-for-irs-volunteer-programs**
IRS Toll-free line	1-800-829-1040
Order IRS Forms and Publications	1-800-829-3676

Information to Assist Taxpayers	
Refund Offset Inquiry (Financial Management System)	1-800-304-3107
IRS Tax-Help for Deaf (TDD)	1-800-829-4059
Taxpayer Advocate Service	1-877-777-4778
Social Security Administration	1-800-772-1213
Treasury Retail Securities (savings bonds)	1-844-284-2676
Economic Impact Payment questions	1-800-919-9835

2021 Publication 4491, VITA/TCE Resource Guide

Page Number	Changes
	Course Introduction
x	Under the heading **Extended and Expired Legislation,** at the end of the list for **The Taxpayer Certainty and Disaster Tax Relief Act of 2020 made the following changes,** add a new bullet: • The carryover of unused amounts from health FSA and dependent care assistance programs from the 2020 and 2021 plan years.
1-1	No changes.
1-11	No changes.
1-12	At the top of the page, change the heading to: **Summary**, and move: **Welcome to the VITA/TCE programs. Remember:** below the gray line and before the first bullet.

The corrected pages follow. On the reverse side of each revised page is the continuing page.

Health Savings Account (HSA) Deduction

For 2021, the annual contribution limits on deductions for HSAs for individuals with self-only coverage is $3,600 (increase of $50) and $7,200 for family coverage (increase of $100). There is an additional contribution amount of $1,000 for taxpayers who are age 55 or older.

Scope Changes

Added to scope:

- Military certification only: Non-cash charitable contributions over $500.

Extended and Expired Legislation

The following were one-year provisions for tax year 2020 and are now expired:

- Deferred payment of the employer's share of Social Security tax for self-employed individuals.
- Coronavirus-related withdrawals up to $100,000 from IRAs or workplace retirement plans.
- Waiver of required minimum distribution rules for certain defined contribution plans and IRAs for calendar year 2020.

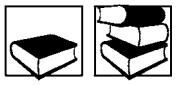
The Taxpayer Certainty and Disaster Tax Relief Act of 2020 made the following changes:

- The reduction in the medical expense deduction floor is made permanent at 7.5%.
- The exclusion for qualified state and local tax benefits and qualified reimbursement payments provided to members of qualified volunteer emergency response organizations is made permanent.
- Deduction for qualified tuition & fees is repealed.
- The exclusion from gross income for a discharge of qualified principal residence indebtedness is extended through December 31, 2025. The provision reduces the maximum amount that may be excluded from $2,000,000 to $750,000 ($375,000 in the case of a married individual filing a separate return). This applies to discharges of indebtedness after December 31, 2020.
- Extends for 5 years (through December 31, 2025) the allowance for employers to provide a student loan repayment benefit to employees on a tax-free basis.
- The treatment of mortgage insurance premiums as qualified residence interest is extended for 1 year (through December 31, 2021).
- The credit for purchases of nonbusiness energy property is extended for 1 year (through December 31, 2021).
- The deduction for charitable contributions for taxpayers who do not itemize is extended and modified. See the Itemized Deductions and Standard Deduction and Tax Computation lessons.
- The increased limit on deductible charitable contributions for taxpayers who itemize is extended.
- The carryover of unused amounts from health FSA and dependent care assistance programs from the 2020 and 2021 plan years.



Congress may enact additional legislation that will affect taxpayers after this publication goes to print. Any changes will be reflected in Publication 4491-X, VITA/TCE Training Supplement, available in mid-January on **www.irs.gov**

Course Introduction



Welcome

We're glad you decided to take advantage of this challenging, yet rewarding experience as an important player in the tax administration process. This training material will introduce you to the major components of the Volunteer Income Tax Assistance and Tax Counseling for the Elderly (VITA/TCE) return preparation process.

Your course instructor will provide all the available technical publications and forms required for this course. If any of the suggested forms and publications are not available in the classroom or at the site, they can be viewed or downloaded at **www.irs.gov**.

Objectives

At the end of this lesson you will be able to describe:

- The various course levels and certification process
- The responsibilities of a VITA/TCE volunteer, including due diligence
- The critical components involved in the return preparation process
- The resources available to assist you
- The procedures for helping a taxpayer with identity theft
- Site Coordinator Training for volunteers acting in this role.

What do I need?

- ☐ Form 13614-C
- ☐ Publication 4012
- ☐ Publication 17
- ☐ Publication 4961
- ☐ Publication 5101
- ☐ Form 6744
- ☐ Form 13614-C Job Aid in Publication 4012
- ☐ Form 13615

Optional:

- ☐ Publication 4299
- ☐ Internet access (optional but highly recommended)

What will I learn?

To successfully assist taxpayers in satisfying their tax responsibilities, you must understand tax law and the tools available to assist you in preparing and filing accurate individual income tax returns. A tax return is accurate when tax law is applied correctly and it is free from error based on your interview of the taxpayer, the taxpayer's supporting documentation, and a completed Form 13614-C, Intake/Interview & Quality Review Sheet.

The VITA/TCE return preparation process consists of several critical components that you will learn in your training class or Link & Learn Taxes (L&LT):

- VITA/TCE Volunteer Standards of Conduct – Ethics Training
- Tax law training – understanding and applying tax law
- Research skills – using references, resources, and tools including return preparation software
- Intake/Interview and Quality Review Training
- Tax return preparation
- Site Coordinator Training for volunteers acting in this role.

TIP Volunteer Standards of Conduct training and test are located in Publication 4961, VITA/TCE Volunteer Standards of Conduct – Ethics Training, and on Link & Learn Taxes. The Intake/Interview and Quality Review Training (Publication 5101) can be found on **VITA/TCE Central**. Volunteer Site Coordinators must review Site Coordinator training (Publication 5088). Form 6744, VITA/TCE Volunteer Assistor's Test/Retest, contains the Volunteer Standards of Conduct, Intake/Interview and Quality Review and Site Coordinator tests.

How else does the Taxpayer Advocate Service help taxpayers?

TAS works to resolve large-scale problems that affect many taxpayers. If you know of one of these broad issues, please report it at **https://www.irs.gov/sams**.

Are there other materials available to assist me?

When you arrive at the tax preparation site, your Site Coordinator will assist you with your resource needs. Your site may even have a technical research library from which you can access various forms, publications, and worksheets. These materials can also be downloaded from **www.irs.gov**.

You should **not** use this guide at your tax preparation site; it is designed for training purposes only. The Volunteer Resource Guide will be available for use in printed or electronic format. Publication 17 will be available in electronic format. Your Site Coordinator should be able to provide access to the following key resources as well:

- Instruction booklets, schedules, and worksheets for Form 1040
- Frequently used tax publications (e.g., Publication 596, Earned Income Credit and Publication 3, Armed Forces' Tax Guide)
- Equipment and supplies along with security requirements and use restrictions



Recipients of government property and equipment must certify that the equipment will be used for volunteer tax return preparation purposes. Commercial and certain personal uses of the property may terminate the agreement. This applies to hardware and software, as well as supplies.

You may reinforce your knowledge of tax law by viewing online training courses such as Link & Learn Taxes, found at **https://apps.irs.gov/app/vita/**.

A toll-free tax information hotline is available for volunteer use only. If you have a tax law question and cannot get the answer from your Site Coordinator or your reference material, call 1-800-829-8482 (1-800-TAX-VITA). **Do not give this phone number to taxpayers.** The volunteer hotline is generally available from February 1 until the filing deadline.

For inquiries about refund offsets, taxpayers can call the Treasury Offset Program toll-free at 1-800-304-3107. Other helpful contact information can be found near the back of the Volunteer Resource Guide.

How do I get started using the tax software?

The majority of VITA/TCE sites use IRS-sponsored tax preparation software. The tax software is used to prepare returns and includes a help feature to assist in understanding the application of tax law; it is available in both desktop and online (internet-based) versions.

Your instructor or Site Coordinator will provide you with the information, user names, and passwords required for logging into the program for training and tax preparation purposes.

Where do I find information about the tax software?

The Volunteer Resource Guide contains step-by-step procedures for electronic return preparation and helpful hints for using the tax software within each applicable tax law topic. Information about completing the return is listed in the Volunteer Resource Guide, Tab K, Finishing the Return.

Summary

Welcome to the VITA/TCE programs. Remember:

- Make sure you have the resources and support you need to provide each taxpayer with high-quality service and an accurate return.
- A return is accurate when tax law is applied correctly and the return is free from error based on the taxpayer's interview and supporting documentation, and a completed Form 13614-C, Intake/Interview & Quality Review Sheet.
- Know your roles and responsibilities, adhere to the Volunteer Standards of Conduct, and follow due diligence.
- Prepare returns that are:
  - within the scope of the VITA/TCE programs
  - within your certification level
- Use VITA/TCE equipment and supplies (including hardware and software) for their intended purposes.
- The procedures for helping a taxpayer with identity theft.

2021 Publication 6744, VITA/TCE Resource Guide

Page Number	Changes
	Basic Certification
49	**Basic Scenario 7: Test Question, Under Test Question 17,** remove: Fred
50	No changes.
61	No changes.
62	The receipt for Make A Way Daycare on page 62 in the printed version of Form 6744 is blank. See page 62 in the electronic version.
	Advanced Certification
91	**Scenario 8: Cynthia Simon**, under **Directions** and after the first **Note**:, add: For the purpose of answering the questions in this scenario, ignore the self-employed health insurance deduction and any scope issues it creates.
92	No changes.
	Military Certification
150	No changes.
151	**Scenario 4: Robert and Shirley Myers, Test Question 10**, change 285 to: 288
162	No changes.
163	**Scenario 4: Robert and Shirley Myers, Retest Question 10**, change 285 to: 288
	Foreign Student and Scholar Certification
198	No changes.
199	Under **Introduction, Question 3,** in the first sentence, remove: scholar
204	No changes.
205	Under **Introduction, Question 19,** in the first sentence after the word stocks, add: in a REIT
206	No changes.
207	**Scenario 2, Kim Lee**, Form 1042-S, Box 4a, add: O4 Box 13g, add: 23
208	**Scenario 2, Kim Lee**, Form 1042-S, Box 4a, add: O4 Box 13g, add: 23
209	No changes.
229	Foreign Student Test for Volunteers, under Introduction, Question 40, replace: 2016 with 2017
230	No changes.

Print out the corrected pages that follow and replace the erroneous pages in your printed training publications. On the reverse side of each revised page is the continuing page.

14. What is the amount of Fred and Wilma's standard deduction? $_____.

15. What is Fred and Wilma's total qualified education expenses used to calculate the American Opportunity Credit? _____.

16. Fred and Wilma Jones can claim the Credit for Other Dependents.

a. True

b. False

17. What is the total amount of federal income tax withholding shown on the Jones' Form(s) W-2 and 1099?

a. $2,700

b. $5,200

c. $6,100

d. $6,622

18. The taxable amount of Fred's Social Security is $7,650.00

a. True

b. False

19. Which of the following statements are true?

a. Qualified dividends are part of the total ordinary dividends.

b. Qualified dividends qualify for lower, long-term capital gains tax rates.

c. Qualified dividends are reported on Form 1099-DIV.

d. All of the above.

Basic Scenario 8: Sheila Parsons

Directions

Using the tax software, complete the tax return, including Form 1040 and all appropriate forms, schedules, or worksheets. Answer the questions following the scenario.

Note: When entering Social Security numbers (SSNs) or Employer Identification Numbers (EINs), replace the Xs as directed, or with any four digits of your choice.

Interview Notes

- Sheila is single and 45 years old.
- Sheila has two children. Rebecca, age 18, has a job and earned wages of $4,900. John, age 25, also worked and earned wages of $4,500. Both children lived with her all year.
- Sheila paid all the cost of keeping up the home and more than half the support for her children.
- Sheila received disability pension benefits, but she has not reached the minimum retirement age of her employer's plan.
- She does not have enough expenses to itemize for the 2021 tax year.
- Sheila received a $2,800 Economic Impact Payment (EIP3) in 2021.
- Shelia, Rebecca, and John are U.S. citizens and have valid Social Security numbers. They all lived in the United States for the entire year.
- If she has any balance due or refund, she would like to use Branch Bank: Bank Routing number is 128760000, Checking Account number is 123456



☐ CORRECTED (if checked)

PAYER'S name, street address, city or town, state or province, country, ZIP or foreign postal code, and telephone no.	1 Gross distribution	OMB No. 1545-0119	Distributions From Pensions, Annuities, Retirement or Profit-Sharing Plans, IRAs, Insurance Contracts, etc.
RILEY STATE BANK **123 SKIP WAY** **YOUR CITY, YOUR STATE, ZIP**	$ **4,000.00** 2a Taxable amount $ **4,000.00**	2021 Form **1099-R**	
	2b Taxable amount not determined ☐	Total distribution ☐	**Copy B** **Report this income on your federal tax return. If this form shows federal income tax withheld in box 4, attach this copy to your return.**
PAYER'S TIN: **38-200XXXX** / RECIPIENT'S TIN: **620-00-XXXX**	3 Capital gain (included in box 2a) $	4 Federal income tax withheld $ **800.00**	
RECIPIENT'S name **MARY RODGERS**	5 Employee contributions/ Designated Roth contributions or insurance premiums $	6 Net unrealized appreciation in employer's securities $	
Street address (including apt. no.) **178 PACKER DRIVE**	7 Distribution code(s): **1** IRA/SEP/SIMPLE: ☑	8 Other $ %	This information is being furnished to the IRS.
City or town, state or province, country, and ZIP or foreign postal code **YOUR CITY, YOUR STATE, ZIP**	9a Your percentage of total distribution %	9b Total employee contributions $	
10 Amount allocable to IRR within 5 years $	11 1st year of desig. Roth contrib.	12 FATCA filing requirement ☐	14 State tax withheld $ $
15 State/Payer's state no.	16 State distribution $ $		
Account number (see instructions)	13 Date of payment	17 Local tax withheld $ $	18 Name of locality
19 Local distribution $ $			

Form **1099-R** www.irs.gov/Form1099R Department of the Treasury - Internal Revenue Service

☐ VOID ☐ CORRECTED

RECIPIENT'S/LENDER'S name, street address, city or town, state or province, country, ZIP or foreign postal code, and telephone number		OMB No. 1545-1576	Student Loan Interest Statement
MAGGIE MAE **854 LINCOLN RD** **YOUR CITY, YOUR STATE, ZIP**		2021 Form **1098-E**	
RECIPIENT'S TIN: **620-00-XXXX** / BORROWER'S TIN: **127-00-XXXX**	1 Student loan interest received by lender $ **$750.00**		**Copy C** **For Recipient**
BORROWER'S name **MARY RODGERS** Street address (including apt. no.) **178 PACKER DRIVE** City or town, state or province, country, and ZIP or foreign postal code **YOUR CITY, YOUR STATE, ZIP**			For Privacy Act and Paperwork Reduction Act Notice, see the **2021 General Instructions for Certain Information Returns.**
Account number (see instructions)	2 Check if box 1 does **not** include loan origination fees and/or capitalized interest, and the loan was made before September 1, 2004 . . . . . ☐		

Form **1098-E** www.irs.gov/Form1098E Department of the Treasury - Internal Revenue Service

Make A Way Daycare
303 Twiggs Trail
Your City, State Zip
(XXX) 555-5555

MAKE A WAY DAYCARE

Date: December 31, 2021

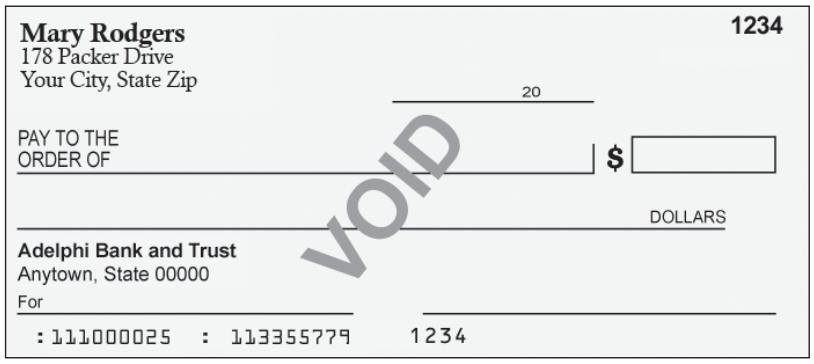
Received From:
Mary Rodgers
178 Packer Dr

EIN: 35-500XXXX
Provider: Lynn Smith

Description	Price	Total
After-School Care for Jenny Rodgers	$2,800	$2,800

Total Amount Received for 2021 Childcare **$2,800**

Thank you for your business!



Advanced Scenario 8: Cynthia Simon

Directions

Using the tax software, complete the tax return, including Form 1040 and all appropriate forms, schedules, or worksheets Answer the questions following the scenario

Note*: When entering Social Security numbers (SSNs) or Employer Identification Numbers (EINs), replace the Xs as directed, or with any four digits of your choice.*

Note*: **For the purpose of answering the questions in this scenario, ignore the self-employed health insurance deduction and any scope issues it creates.***

Interview Notes

- Cynthia is an electrician, age 29, and single.
- Cynthia has investment income and has a consolidated broker's statement.
- Cynthia began a cleaning service business in 2020. She was paid on Form 1099-NEC for 2021. She also received additional cash receipts of $400 not reported on the Form 1099-NEC.
- Cynthia uses the cash method of accounting. She uses business code 561720.
- Cynthia has receipts for the following expenses:
  - $350 for cleaning supplies
  - $225 for business cards
  - $450 for a mop, broom, and vacuum cleaner
  - $150 for work gloves
  - $125 for lunches
  - $175 for work clothes suitable for everyday use
- Cynthia has a detailed mileage log reporting for 2021:
  - Mileage from her home to her first client's home and mileage from her last client's home to her home – 750 miles
  - In addition, on the days Cynthia worked for multiple clients, she kept track of the mileage from the first client's home to the second client's home in case that mileage was also deductible. She logged 450 miles (not included in the 750 miles).
  - The total mileage on her car for tax year 2021 was 11,200 miles. Of that, 10,000 were personal miles. She placed her only vehicle, a pick-up truck, in service on 3/15/2020. Cynthia will take the standard mileage rate.
- Cynthia took an early distribution from her IRA in April to pay off her educational expenses.
- Cynthia is paying off her student loan from 2018.
- Cynthia is working towards her Master of Business Administration (MBA) degree. She took a few college courses this year at an accredited college.

- Cynthia purchased insurance for herself through the marketplace and has a Form 1095-A.
- If Cynthia has a refund, she would like it deposited into her checking account.
- Cynthia received the third Economic Impact Payment (EIP3) in the amount of $1,400 in 2021.



Military Scenario 4: Robert and Shirley Myers

Interview Notes

- Robert and Shirley Myers are married and have a 13 year old daughter who lived with Shirley all year.
- Robert was deployed to Afghanistan on June 1, 2021. His last day in the combat zone is scheduled for May 3, 2022.
- Robert's Form W-2 shows:
  - Box 1 = $15,000
  - Box 12a = $20,000, Code Q
- Shirley's Form W-2 shows $34,000 in Box 1. This is her only income.
- Robert, Shirley, and their daughter are all U.S. citizens and have valid Social Security numbers. The entire family lives in the U.S.

Military Scenario 4: Test Questions

9. Robert and Shirley **cannot** choose to exclude their combat pay for the purposes of calculating the earned income credit.

a. True

b. False

10. Robert and Shirley have _____ days to file their 2021 tax return after he returns from the combat zone.

a. 105

b. 180

c. 288

d. 365

Military Scenario 5: Daniel and Betty Simmons

Interview Notes

- Daniel and Betty are married and want to file a joint return.
- Daniel and Betty have an 18 year old son, Brian, who lived with them the entire year.
- Daniel was deployed to Iraq and entered a combat zone on April 1, 2021. He returned to the U.S. on February 15, 2022.
- Betty has rental property, which she placed into service in 2017.
- Rental property:
  - Betty is an active participant.
  - Single family residence at 1285 West Indian Ave, Your City, Your State, Your Zip.
  - Purchased property: 07/21/2011.
  - Rented: 1/1/2021 to 12/31/2021
  - Annual rental income: $18,600
  - Insurance: $1,900
  - Management fees: $1,045
  - Betty paid $1,373 to fix a broken window, fill a pothole in the driveway, and repair a broken pipe. She did the pothole repair herself and feels her time completing the repair was worth $675 compared to the estimate from the asphalt contractor.
  - Real estate property tax: $2,114.
  - Mortgage Interest: $4,750.
  - Depreciation: $3,300 (annual amount previously calculated by Betty's accountant).
  - Betty did not make any payments that require her to file Form 1099.
- Daniel and Betty received $4,200 as an Economic Impact Payment (EIP 3) in March 2021.
- The Simmons did not itemize last year and do not have enough deductions to itemize this year.

Military Scenario 3: Lisa Wagner

Interview Notes

- Lisa Wagner is a retired member of the U.S. Army.
- She received Form 1099-R for her retirement pay from the Defense Finance & Accounting Service.
- Form 1099-R indicates $28,500 in Box 1 and Box 2a.
- Lisa is considered 20% disabled and received a letter of determination from the Department of Veterans Affairs (VA).
- She received a payment in the amount of $2,950 from the VA for disability.

Military Scenario 3: Retest Questions

7. The $28,500 from Defense Finance and Accounting Service is subject to which type of tax?

a. Medicare tax

b. Self-Employment tax

c. Social Security tax

d. Federal Income tax

8. The VA issues Form 1099-R for disability payments.

a. True

b. False

Military Scenario 4: Robert and Shirley Myers

Interview Notes

- Robert and Shirley Myers are married and have a 13 year old daughter who lived with Shirley all year.
- Robert was deployed to Afghanistan on June 1, 2021. His last day in the combat zone is scheduled for May 3, 2022.
- Robert's Form W-2 shows:
  - Box 1 = $15,000
  - Box 12a = $20,000, Code Q
- Shirley's Form W-2 shows $34,000 in Box 1. This is her only income.
- Robert, Shirley, and their daughter are all U.S. citizens and have valid Social Security numbers. The entire family lives in the U.S.

Military Scenario 4: Retest Questions

9. Robert and Shirley may count his combat pay to increase their Child Tax Credit.

a. True

b. False

10. Robert and Shirley have 288 days to file their tax return after he returns from the combat zone.

a. True

b. False

2021 VITA/TCE Foreign Student Test for Volunteers

Welcome to the Link & Learn Taxes Foreign Student Test. The test requires you to prepare four tax returns using Form 1040-NR and/or Form 8843 and then answer 50 online questions. You must successfully complete the test at an overall 80% proficiency to earn VITA/TCE certification.

Please complete this test on your own for an accurate assessment of your skills and knowledge. You may use any reference materials available to you as a volunteer to complete this test.

Volunteers who use tax preparation software to complete the test need to make sure they are using the final 2021 version.

Residency Status, Form 8843, and Filing Status

Introduction

This section of the VITA/TCE certification Foreign Student test covers determining residency status, the use of Form 8843, and filing status. It consists of 13 true/false questions and 4 scenario-based multiple choice questions.

Allow approximately 20 minutes to complete this segment.

1. Ken entered the U.S. as a student on July 30, 2018 in F-1 immigration status. He had never been to the United States before and he did **not** change immigration status during 2021. For federal income tax purposes, Ken is a resident alien for 2021.

a. True

b. False

2. Helen is a visiting professor at the local university. Helen was a graduate student from June 2017 to May 2019 in F-1 immigration status. She re-entered the United States as a teacher on December 20, 2020 in J-1 immigration status. For federal income tax purposes, Helen is a nonresident alien for 2021.

a. True

b. False

3. Yusuf served as a visiting student in F-1 immigration status from March 2017 through June 2020. In August of 2021, Yusuf returned to the United States as a professor. For federal income tax purposes, Yusuf is a resident alien for 2021.

a. True

b. False

4. Juan came to the United States in F-2 immigration status with his wife on July 15, 2017. He has **not** changed his immigration status. For federal income tax purposes, Juan is a resident alien for 2021.

a. True

b. False

5. Emily lived with her parents in F-2 immigration status in the United States from August 2010 to June 2012. She returned to the U.S. to attend college in F-1 immigration status on December 5, 2019. Emily needs to file Form 8843 for 2021.

a. True

b. False

Scenario 1: Enrique Sato Test Questions

Directions

To answer the following multiple choice questions, refer to the Form 8843 you completed for Enrique Satō.

14. What should Enrique enter on Line 1b?

a. Leave blank

b. F1 January 1, 2020 H1b

c. F1

15. Enrique has to complete Lines 4a and 4b.

a. True

b. False

16. Enrique only has to complete Part 1 of Form 8843.

a. True

b. False

17. What is the due date of Enrique's Form 8843 for tax year 2021?

a. April 18, 2022

b. June 15, 2022

c. October 15, 2022

d. December 31, 2022

Taxability of Income, ITINs, and Credits

Introduction

This segment of the VITA/TCE certification test includes 7 general and 14 scenario-based multiple choice questions on taxability of income, ITINs, and credits.

Allow approximately 45 minutes to complete this segment.

18. Margarita, who is a nonresident alien and is in the United States in J-1 immigration status, spent $4,400 on qualifying tuition and educational expenses. She is entitled to claim an education credit on her tax return.

a. True

b. False

19. Ji-yoo received $73 of dividend income on U.S. stocks in a REIT she purchased online. She is an international student from Canada in F-1 immigration status. She arrived in the United States in 2020. Ji-yoo's dividend income will be taxed at 30% on Form 1040-NR, Schedule NEC.

a. True

b. False

20. Marie and Nathan are a married nonresident alien couple from France. Both are in the U.S. in F-1 immigration statuses and arrived in 2021. They paid $3,700 in childcare expenses, while attending school, for their child who was born in the United States and is a U.S. citizen. They are eligible to claim the child and dependent care credit on their Form 1040-NR.

a. True

b. False

21. Antero is a student in J-1 immigration status from Latvia. He earned $2,300 in wages in 2021. His wages are reported to him on Form 1042-S (Box 1, Income Code 20). Antero should report these wages on Form 1040-NR, Schedule OI.

a. Yes

b. No

22. Gus is a student here in J-1 immigration status as of October 15, 2021. Under the terms of his visa, he is permitted to work in the U.S. Gus does **not** qualify for a Social Security number and should apply for an ITIN.

a. True

b. False

23. Elena, in F-1 student immigration status from Romania, is on the basketball team. She arrived in the U.S. on June 18, 2021 on a full athletic scholarship that includes payments for her room and board. The amount of her scholarship for room and board is taxable.

a. True

b. False

24. Gunther is a student in the U.S. in F-1 immigration status. He arrived from Germany on July 13, 2019. Gunther worked in the bookstore and earned $2,500 in wages and had federal income tax withholding of $215. Gunther needs to file Form 1040-NR and Form 8843 for 2021.

a. True

b. False

Scenario 2: Kim Lee

Use the following information to prepare Form 1040-NR.

- Kim Lee, a citizen of South Korea, came to the United States in F-1 immigration status (number 3344123344) on January 01, 2021.
- He has remained in the country since then and is a full-time student at the local university. Kim, born July 25, 2001, is single. He began working at the university on February 10, 2021.
- He filed the proper withholding and treaty forms with the university payroll office before beginning his job. Since filing these forms correctly, he received a Form 1042-S for the treaty benefit for his wages. Kim was not in the U.S. before and therefore, has not filed an U.S. tax return in any prior year.
- Kim also received a scholarship from the university he was attending. He filed the appropriate forms to claim his treaty benefit for the scholarship. Therefore, he received a Form 1042-S.
- Kim's address in South Korea is Bldg. 102 Unit 304, Sajik-ro-3-gil (Street) 23, Jongno, Seoul (South Korea) 30174. If he is entitled to a refund, he wants a direct deposit to his checking account. The routing number is 123456789 and the account number is 98765432100. He doesn't want to designate anyone to discuss his return with the IRS. He did not take any affirmative steps to apply for permanent residence in the U.S. Kim's U.S. income will not be taxed in his home country.
- Using the following information (two Forms 1042-S and a Form W-2), complete Kim's federal income tax return. (Kim would also need to file Form 8843, but assume that he has already completed that on his own.)
- After completing the required tax form, review the scenario and resource materials, and answer each of the test questions.

a Employee's social security number	OMB No. 1545-0008	Safe, accurate, FAST! Use	Visit the IRS website at www.irs.gov/efile
XXX-XX-XXXX			

b Employer identification number (EIN)	1 Wages, tips, other compensation	2 Federal income tax withheld
XX-XXXXXX	$8,500.00	$800.00

c Employer's name, address, and ZIP code	3 Social security wages	4 Social security tax withheld
STATE UNIVERSITY 122 MAIN STREET LINCOLN, IL 62656	5 Medicare wages and tips	6 Medicare tax withheld
	7 Social security tips	8 Allocated tips
d Control number	9	10 Dependent care benefits
e Employee's first name and initial Last name Suff. KIM LEE 245 2ND STREET INTERNATIONAL HALL LINCOLN, IL 62656 f Employee's address and ZIP code	11 Nonqualified plans	12a See instructions for box 12 Code
	13 Statutory employee ☐ Retirement plan ☐ Third-party sick pay ☐	12b Code
	14 Other	12c Code
		12d Code

15 State	Employer's state ID number	16 State wages, tips, etc.	17 State income tax	18 Local wages, tips, etc.	19 Local income tax	20 Locality name
IL	XX-XXXXXX	$8,500.00	$80.00			

Form **W-2** Wage and Tax Statement 2021 Department of the Treasury—Internal Revenue Service

Copy B—To Be Filed With Employee's FEDERAL Tax Return.
This information is being furnished to the Internal Revenue Service.

Form **1042-S** Foreign Person's U.S. Source Income Subject to Withholding 2021

Department of the Treasury
Internal Revenue Service

► Go to *www.irs.gov/Form1042S* for instructions and the latest information.

0 1 2 3 4 5 6 7 8 9 UNIQUE FORM IDENTIFIER ☐ AMENDED ☐ AMENDMENT NO.

OMB No. 1545-0096

Copy B
for Recipient

1 Income code	2 Gross income	3 Chapter indicator. Enter "3" or "4"	4a Exemption code 04
20	$2,000.00	3b Tax rate .	4b Tax rate .

5 Withholding allowance	13e Recipient's U.S. TIN, if any: XXX-XX-XXXX	13f Ch. 3 status code	13g Ch. 4 status code: 23
6 Net income	13h Recipient's GIIN	13i Recipient's foreign tax identification number, if any	13j LOB code
7a Federal tax withheld	13k Recipient's account number		
7b Check if federal tax withheld was not deposited with the IRS because escrow procedures were applied (see instructions) ☐	13l Recipient's date of birth (YYYYMMDD)		
7c Check if withholding occurred in subsequent year with respect to a partnership interest ☐			
8 Tax withheld by other agents	14a Primary Withholding Agent's Name (if applicable)		
9 Overwithheld tax repaid to recipient pursuant to adjustment procedures (see instructions) ( )	14b Primary Withholding Agent's EIN	15 Check if pro-rata basis reporting ☐	
10 Total withholding credit (combine boxes 7a, 8, and 9)	15a Intermediary or flow-through entity's EIN, if any	15b Ch. 3 status code	15c Ch. 4 status code
11 Tax paid by withholding agent (amounts not withheld) (see instructions)	15d Intermediary or flow-through entity's name		
12a Withholding agent's EIN: XX-XXXXXX / 12b Ch. 3 status code / 12c Ch. 4 status code	15e Intermediary or flow-through entity's GIIN		
12d Withholding agent's name: STATE UNIVERSITY	15f Country code	15g Foreign tax identification number, if any	
12e Withholding agent's Global Intermediary Identification Number (GIIN)	15h Address (number and street)		
12f Country code / 12g Foreign tax identification number, if any	15i City or town, state or province, country, ZIP or foreign postal code		
12h Address (number and street): 122 MAIN ST	16a Payer's name	16b Payer's TIN	
12i City or town, state or province, country, ZIP or foreign postal code: LINCOLN, IL 62656	16c Payer's GIIN	16d Ch. 3 status code	16e Ch. 4 status code
13a Recipient's name: KIM LEE / 13b Recipient's country code: KO	17a State income tax withheld: 0.00	17b Payer's state tax no.: XX-XXXXXX	17c Name of state: IL
13c Address (number and street): 245 2ND STREET, INTERNATIONAL HALL			
13d City or town, state or province, country, ZIP or foreign postal code: LINCOLN, IL 62656			

(keep for your records) Form **1042-S** (2021)

Form **1042-S**

Department of the Treasury
Internal Revenue Service

Foreign Person's U.S. Source Income Subject to Withholding 2021

► Go to *www.irs.gov/Form1042S* for instructions and the latest information.

0 6 0 4 0 1 UNIQUE FORM IDENTIFIER ☐ AMENDED ☐ AMENDMENT NO.

OMB No. 1545-0096

Copy B
for Recipient

1 Income code: **16**	**2** Gross income: **$6,000.00**	**3** Chapter indicator. Enter "3" or "4"	**3a** Exemption code	**4a** Exemption code **04**	**3b** Tax rate	**4b** Tax rate
5 Withholding allowance						
6 Net income						
7a Federal tax withheld						
7b Check if federal tax withheld was not deposited with the IRS because escrow procedures were applied (see instructions) ☐						
7c Check if withholding occurred in subsequent year with respect to a partnership interest ☐						
8 Tax withheld by other agents						
9 Overwithheld tax repaid to recipient pursuant to adjustment procedures (see instructions) ( )						
10 Total withholding credit (combine boxes 7a, 8, and 9)						
11 Tax paid by withholding agent (amounts not withheld) (see instructions)						

12a Withholding agent's EIN: **XX-XXXXXX**	**12b** Ch. 3 status code	**12c** Ch. 4 status code
12d Withholding agent's name: **STATE UNIVERSITY**		
12e Withholding agent's Global Intermediary Identification Number (GIIN)		
12f Country code	**12g** Foreign tax identification number, if any	
12h Address (number and street): **122 MAIN ST**		
12i City or town, state or province, country, ZIP or foreign postal code: **LINCOLN, IL 62656**		

13a Recipient's name: **KIM LEE**	**13b** Recipient's country code: **KO**
13c Address (number and street): **245 2ND STREET, INTERNATIONAL HALL**	
13d City or town, state or province, country, ZIP or foreign postal code: **LINCOLN, IL 62656**	

13e Recipient's U.S. TIN, if any			**13f** Ch. 3 status code	
			13g Ch. 4 status code	**23**
13h Recipient's GIIN	**13i** Recipient's foreign tax identification number, if any	**13j** LOB code		
13k Recipient's account number				
13l Recipient's date of birth (YYYYMMDD)				
14a Primary Withholding Agent's Name (if applicable)				
14b Primary Withholding Agent's EIN		**15** Check if pro-rata basis reporting ☐		
15a Intermediary or flow-through entity's EIN, if any	**15b** Ch. 3 status code	**15c** Ch. 4 status code		
15d Intermediary or flow-through entity's name				
15e Intermediary or flow-through entity's GIIN				
15f Country code	**15g** Foreign tax identification number, if any			
15h Address (number and street)				
15i City or town, state or province, country, ZIP or foreign postal code				
16a Payer's name		**16b** Payer's TIN		
16c Payer's GIIN	**16d** Ch. 3 status code	**16e** Ch. 4 status code		
17a State income tax withheld: **0.00**	**17b** Payer's state tax no.: **XX-XXXXXX**	**17c** Name of state: **IL**		

(keep for your records)

Form **1042-S** (2021)

Form **1040-NR** Department of the Treasury—Internal Revenue Service (99) **U.S. Nonresident Alien Income Tax Return** 2020 OMB No. 1545-0074 IRS Use Only—Do not write or staple in this space.

Filing Status Check only one box.

☐ Single ☐ Married filing separately (MFS) (formerly Married) ☐ Qualifying widow(er) (QW)

If you checked the QW box, enter the child's name if the qualifying person is a child but not your dependent ►

Your first name and middle initial	Last name	**Your identifying number** (see instructions)

Home address (number and street or rural route). If you have a P.O. box, see instructions.	Apt. no.	Check if: ☐ Individual ☐ Estate or Trust

City, town, or post office. If you have a foreign address, also complete spaces below.	State	ZIP code

Foreign country name	Foreign province/state/county	Foreign postal code

At any time during 2020, did you receive, sell, send, exchange, or otherwise acquire any financial interest in any virtual currency? ☐ **Yes** ☐ **No**

Dependents (see instructions):

	(1) First name Last name	**(2)** Dependent's identifying number	**(3)** Dependent's relationship to you	**(4)** ✔ if qualifies for (see instr.): Child tax credit	Credit for other dependents
If more than four dependents, see instructions and check here ► ☐				☐	☐
				☐	☐
				☐	☐
				☐	☐

Income Effectively Connected With U.S. Trade or Business

1a	Wages, salaries, tips, etc. Attach Form(s) W-2				1a	
b	Scholarship and fellowship grants. Attach Form(s) 1042-S or required statement. See instructions				1b	
c	Total income exempt by a treaty from Schedule OI (Form 1040-NR), Item L, line 1(e)	1c				
2a	Tax-exempt interest	2a		b Taxable interest	2b	
3a	Qualified dividends	3a		b Ordinary dividends	3b	
4a	IRA distributions	4a		b Taxable amount	4b	
5a	Pensions and annuities	5a		b Taxable amount	5b	
6	Reserved for future use				6	
7	Capital gain or (loss). Attach Schedule D (Form 1040) if required. If not required, check here ► ☐				7	
8	Other income from Schedule 1 (Form 1040), line 9				8	
9	Add lines 1a, 1b, 2b, 3b, 4b, 5b, 7, and 8. This is your **total effectively connected income** ►				9	
10	Adjustments to income:					
a	From Schedule 1 (Form 1040), line 22	10a				
b	Charitable contributions for certain residents of India. See instructions	10b				
c	Scholarship and fellowship grants excluded	10c				
d	Add lines 10a through 10c. These are your **total adjustments to income** ►				10d	
11	Subtract line 10d from line 9. This is your **adjusted gross income** ►				11	
12	**Itemized deductions** (from Schedule A (Form 1040-NR)) or, for certain residents of India, standard deduction. See instructions				12	
13a	Qualified business income deduction. Attach Form 8995 or Form 8995-A	13a				
b	Exemptions for estates and trusts only. See instructions	13b				
c	Add lines 13a and 13b				13c	
14	Add lines 12 and 13c				14	
15	**Taxable income.** Subtract line 14 from line 11. If zero or less, enter -0-				15	

For Disclosure, Privacy Act, and Paperwork Reduction Act Notice, see separate instructions. Cat. No. 11364D Form **1040-NR** (2020)

Refunds, Deductions, and the Best Form to Use

Introduction

This part of the VITA/TCE certification test includes 13 true/false or multiple choice questions.

Allow approximately 20 minutes to complete this segment.

38. Emily, an international student from Ireland, has a Form W-2 that shows amounts withheld for Social Security and Medicare taxes. Emily is an F-1 student who arrived in 2018. What form should Emily use to claim a refund of her Social Security and Medicare taxes withheld?

a. Form 1040-NR

b. Form 8843

c. Form 843

39. Jose and Maria are from Mexico. Jose is a scholar at a local university in J-1 immigration status and Maria is in J-2 immigration status. Maria worked at a local boutique in 2021. Her Form W-2 shows Social Security and Medicare withholding. Maria found out her spouse does **not** have to pay Social Security or Medicare taxes. Maria is **not** eligible for a refund of her Social Security and Medicare taxes withheld.

a. True

b. False

40. Li, an international student from People's Republic of China, received $10,100 of interest income in 2021 from a personal bank account in the U.S. he opened when he first arrived on August 27, 2017 on a student visa. He also had a $100 capital gain from some U.S. stock he sold. What form and schedules does Li need to complete?

a. He does **not** need to file a return

b. Form 1040-NR, Schedule OI, and Schedule D

c. Form 1040-NR, Schedule D, and Schedule NEC

d. Form 1040-NR, Schedule OI, and Schedule NEC

41. Arthur entered the United States for the first time in 2019. He is a resident of France, and in F-1 immigration status. Arthur won $1,200 at the local casino.

Does Arthur need to file Form 1040-NR to report the $1,200?

a. Yes

b. No

42. George is a visiting scholar from Ireland. He arrived in the U.S. on September 1, 2020 in a J-1 immigration status and was accompanied by his wife Freya and his son Noah. Since his arrival, his second child, Charlie, was born in the U.S. George earned $85,000 in 2021 from State University. When he files his federal tax return, he **cannot** claim his wife and children as dependents.

a. True

b. False

43. Quang, a graduate student of physics from Vietnam, is in F-1 immigration status. He first arrived in the U.S. on April 1, 2018. Quang needs help preparing his tax return. He made donations to a U.S. charity and wants to know where to claim them. Quang can claim his charitable contributions as an itemized deduction on Form 1040-NR.

a. True

b. False

44. Adi is in F-1 immigration status from Chile. He entered the United States in August 2018 and enrolled as a full time undergraduate student. Adi is pursuing his first degree in mathematics.

Does Adi qualify to claim any education credit on his Form 1040-NR?

a. Yes

b. No

45. Margarita is a single, nonresident alien who began studying in the U.S. in 2019 in F-1 immigration status from Ecuador. She has wages of $9,300, interest income from her savings account of $175, $50 of dividends, and sold $4,500 of U.S. stocks for a $250 capital gain. She donated $50 of the proceeds to a local charity. Could Margarita have her return completed at a Foreign Student and Scholar VITA site that has properly certified volunteers?

a. Yes

b. No

46. Some students and scholars may owe money with their tax return. Nonresidents have which of the following payment options?

a. Ask for an extension of time to pay or an installment agreement.

b. Pay the entire balance by the due date for the return.

c. Put the balance on a credit card.

d. All of the above.

2021 Publication 4189-B, Volunteer International Test/Retest Answers

Page Number	Changes
	Covers
Front – outside cover	After the title, change 2020 to: 2021 In the footer at the bottom of the page, in the product information line, change 2020 to: 2021

The corrected pages follow. On the reverse side of each revised page is the continuing page.

4189-B

Volunteer International Test/Retest Answers

VITA/TCE Volunteer Income Tax Assistance/Tax Counseling for the Elderly

2021 RETURNS



Take your VITA/TCE training online at **www.irs.gov** (keyword: Link & Learn Taxes). Link to the Practice Lab to gain experience using tax software and take the certification test online, with immediate scoring and feedback.

Publication 4189-B (Rev. 09-2021) Catalog Number 72841V Department of the Treasury **Internal Revenue Service** www.irs.gov



2021 Publication 4189-E, Volunteer Foreign Student/Scholar Test Answers

Page Number	Changes
	Refunds, Deductions, and the Best Form to Use
2	Test: Question 42, change the answer to c. Test: Question 50, change the answer to d. Retest: Question 50, change the answer to a.

The corrected pages follow. On the reverse side of each revised page is the continuing page.

2021 Publication 4695PR, Volunteer Foreign Student/Scholar Test Answers

Page Number	Changes
	Refunds, Deductions, and the Best Form to Use
9	**Test Question 1.4**, change Sebastian to: Frank
10	No changes.
11	No changes.
12	No changes.

The corrected pages follow. On the reverse side of each revised page is the continuing page.

1.3 Marco is 40 years old, Head of Household, and a resident of Puerto Rico during 2021. Marco has a son who is his dependent. He informed you that he received the following sources of income: $12,500 for a job he performed in the state of Florida; $23,200 received from the federal government for services performed in Puerto Rico. He also received $6,300 from a part-time job in Puerto Rico that is exempt from federal income tax.

What is the allowable portion of Marco's standard deduction?

a. $12,550

b. $14,700

c. $15,980

d. $18,800

1.4 Frank is a bona fide resident of Puerto Rico, who received Social Security benefits and pension income from the University of Puerto Rico. Does Frank have U.S. source income?

a. Yes, he has U.S. source income.

b. No, he does not have U.S. source income.

1.5 Carolina is single and received unemployment benefits from the Puerto Rico Department of Labor reported on a Form 1099-G. What is the factor determining source of income for unemployment?

a. Residence of the payee

b. The location of the payer

c. Unemployment compensation is generally considered sourced where the taxpayer performed the underlying services

d. None of the above

Taxpayer Documents

- Completed Intake/Interview and Quality Review Sheet
- Form 499R-2W-2PR

Interview Notes

- Astoria Jones is employed as an executive secretary.
- Astoria is divorced with two children. Delmar is 3 years old and Lucas is 17 years old.
- Social Security numbers: Astoria Jones 133-00-XXXX, Delmar Jones, daughter, 599-00-XXXX and Lucas Jones, son, 598-00-XXXX.
- If she is entitled to a refund, Astoria would like to receive it via direct deposit.
- Astoria has a checking account from Any Town Credit Union Account Number: 54321 Routing Number: 123456789
- Astoria has an Identity Protection Personal Identification Number (IP PIN).
- In 2021, Astoria received an Economic Impact Payment (EIP) from the U.S. territory tax agency (the Puerto Rico Department of Treasury) $1,400 for her, plus $1,400 for each qualifying child.
- Astoria has not received advance payments of the refundable child tax credit.She has always been a bona fide resident of Puerto Rico.



Form **13614-C**
(October 2021)

Department of the Treasury - Internal Revenue Service

Intake/Interview & Quality Review Sheet

OMB Number
1545-1964

You will need:
- **Tax Information such as Forms W-2, 1099, 1098, 1095.**
- **Social security cards or ITIN letters for all persons on your tax return.**
- **Picture ID (such as valid driver's license) for you and your spouse.**

- **Please complete pages 1-4 of this form.**
- **You are responsible for the information on your return. Please provide complete and accurate information.**
- **If you have questions, please ask the IRS-certified volunteer preparer.**

Volunteers are trained to provide high quality service and uphold the highest ethical standards.
To report unethical behavior to the IRS, email us at wi.voltax@irs.gov

Part I – Your Personal Information *(If you are filing a joint return, enter your names in the same order as last year's return)*

1. Your first name	M.I.	Last name	Best contact number	Are you a U.S. citizen?
ASTORIA		JONES	YOUR PHONE #	☒ Yes ☐ No
2. Your spouse's first name	M.I.	Last name	Best contact number	Is your spouse a U.S. citizen? ☐ Yes ☐ No

3. Mailing address	Apt #	City	State	ZIP code
COND LOS NARANJALES EDIFICIO D	26	CAROLINA	PR	00985

4. Your Date of Birth	5. Your job title	6. Last year, were you:			
08/08/1969	EXECUTIVE SECRETARY	b. Totally and permanently disabled ☐ Yes ☒ No		c. Legally blind ☐ Yes ☒ No	a. Full-time student ☐ Yes ☒ No
7. Your spouse's Date of Birth	8. Your spouse's job title	9. Last year, was your spouse:			
		b. Totally and permanently disabled ☐ Yes ☐ No		c. Legally blind ☐ Yes ☐ No	a. Full-time student ☐ Yes ☐ No

10. Can anyone claim you or your spouse as a dependent? ☐ Yes ☒ No ☐ Unsure

11. Have you, your spouse, or dependents been a victim of tax related identity theft or been issued an Identity Protection PIN? ☒ Yes ☐ No

12. Provide an email address *(optional) (this email address will not be used for contacts from the Internal Revenue Service)*

Part II – Marital Status and Household Information

1. As of December 31, 2021, what was your marital status?
- ☐ Never Married
- ☐ Married
- ☒ Divorced — Date of final decree: 09/15/2011
- ☐ Legally Separated — Date of separate maintenance decree:
- ☐ Widowed — Year of spouse's death:

(This includes registered domestic partnerships, civil unions, or other formal relationships under state law)
a. If Yes, Did you get married in 2021? ☐ Yes ☐ No
b. Did you live with your spouse during any part of the last six months of 2021? ☐ Yes ☐ No

2. List the names below of:
- **everyone** who lived with you last year *(other than your spouse)*
- **anyone** you supported but did not live with you last year

If additional space is needed check here ☐ and list on page 3

Name *(first, last)* Do not enter your name or spouse's name below (a)	Date of Birth *(mm/dd/yy)* (b)	Relationship to you *(for example: son, daughter, parent, none, etc)* (c)	Number of months lived in your home last year (d)	US Citizen *(yes/no)* (e)	Resident of US, Canada, or Mexico last year *(yes/no)* (f)	Single or Married as of 12/31/21 *(S/M)* (g)	Full-time Student last year *(yes/no)* (h)	Totally and Permanently Disabled *(yes/no)* (i)	**To be completed by a Certified Volunteer Preparer** Is this person a qualifying child/relative of any other person? *(yes/no)*	Did this person provide more than 50% of his/her own support? *(yes,no,n/a)*	Did this person have less than $4,300 of income? *(yes,no,n/a)*	Did the taxpayer(s) provide more than 50% of support for this person? *(yes/no/n/a)*	Did the taxpayer(s) pay more than half the cost of maintaining a home for this person? *(yes/no)*
DELMAR JONES	05/15/18	DAUGHTER		YES	YES	S	YES	NO					
LUCAS JONES	02/12/04	SON		YES	YES	S	YES	NO					

Check appropriate box for each question in each section

Yes	No	Unsure	Part III – Income – Last Year, Did You *(or Your Spouse)* Receive
☒	☐	☐	1. (B) Wages or Salary? (Form W-2) **If yes, how many jobs did you have last year?** 1
☐	☒	☐	2. (A) Tip Income?
☐	☒	☐	3. (B) Scholarships? (Forms W-2, 1098-T)
☐	☒	☐	4. (B) Interest/Dividends from: checking/savings accounts, bonds, CDs, brokerage? (Forms 1099-INT, 1099-DIV)
☐	☒	☐	5. (B) Refund of state/local income taxes? (Form 1099-G)
☐	☒	☐	6. (B) Alimony income or separate maintenance payments?
☐	☒	☐	7. (A) Self-Employment income? (Form 1099-MISC, 1099-NEC, cash, virtual currency, or other property or services)
☐	☒	☐	8. (A) Cash/check/virtual currency payments, or other property or services for any work performed not reported on Forms W-2 or 1099?
☐	☒	☐	9. (A) Income (or loss) from the sale or exchange of Stocks, Bonds, Virtual Currency or Real Estate? (including your home) (Forms 1099-S,1099-B)
☐	☒	☐	10. (B) Disability income? (such as payments from insurance, or workers compensation) (Forms 1099-R, W-2)
☐	☒	☐	11. (A) Retirement income or payments from Pensions. Annuities, and or IRA? (Form 1099-R)
☐	☒	☐	12. (B) Unemployment Compensation? (Form 1099G)
☐	☒	☐	13. (B) Social Security or Railroad Retirement Benefits? (Forms SSA-1099, RRB-1099)
☐	☒	☐	14. (M) Income (or loss) from Rental Property?
☐	☒	☐	15. (B) Other income? (gambling, lottery, prizes, awards, jury duty, virtual currency, Sch K-1, royalties, foreign income, etc.)

Yes	No	Unsure	Part IV – Expenses – Last Year, Did You *(or Your Spouse)* Pay
☐	☒	☐	1. (B) Alimony or separate maintenance payments? If yes, do you have the recipient's SSN? ☐ Yes ☐ No
☐	☒	☐	2. Contributions or repayments to a retirement account? ☐ IRA (A) ☐ 401K (B) ☐ Roth IRA (B) ☐ Other
☐	☒	☐	3. (B) College or post secondary educational expenses for yourself, spouse or dependents? (Form 1098-T)
☐	☒	☐	4. Any of the following? ☐ (A) Medical & Dental (including insurance premiums) ☐ (A) Mortgage Interest (Form 1098) ☒ (A) Taxes (State, Real Estate, Personal Property, Sales) ☐ (B) Charitable Contributions
☐	☒	☐	5. (B) Child or dependent care expenses such as daycare?
☐	☒	☐	6. (B) For supplies used as an eligible educator such as a teacher, teacher's aide, counselor, etc.?
☐	☒	☐	7. (A) Expenses related to self-employment income or any other income you received?
☐	☒	☐	8. (B) Student loan interest? (Form 1098-E)

Yes	No	Unsure	Part V – Life Events – Last Year, Did You *(or Your Spouse)*
☐	☒	☐	1. (A) Have a Health Savings Account? (Forms 5498-SA, 1099-SA, W-2 with code W in box 12)
☐	☒	☐	2. (A) Have credit card, student loan or mortgage debt cancelled/forgiven by a lender or have a home foreclosure? (Forms 1099-C, 1099-A)
☐	☒	☐	3. (A) Adopt a child?
☐	☒	☐	4. (B) Have Earned Income Credit, Child Tax Credit or American Opportunity Credit disallowed in a prior year? If yes, for which tax year?
☐	☒	☐	5. (A) Purchase and install energy-efficient home items? (such as windows, furnace, insulation, etc.)
☐	☒	☐	6. (A) Receive the First Time Homebuyers Credit in 2008?
☐	☒	☐	7. (B) Make estimated tax payments or apply last year's refund to this year's tax? If so how much?
☐	☒	☐	8. (A) File a federal return last year containing a "capital loss carryover" on Form 1040 Schedule D?
☐	☒	☐	9. (A) Have health coverage through the Marketplace (Exchange)? [Provide Form 1095-A]
☐	☒	☐	10. (B) Receive an Economic Impact Payment (stimulus) in 2021?
☐	☒	☐	11. (B) Receive Advanced Child Tax Credit payments?

Link & Learn Taxes

Link & Learn Taxes is web-based training designed specifically for VITA/TCE volunteers. Each volunteer's ability to prepare complete and accurate returns is vital to the credibility and integrity of the program. Link & Learn Taxes, as part of the complete volunteer training kit, provides the path to achieving this high level of quality service.

Link & Learn Taxes and Publication 4012, VITA/TCE Volunteer Resource Guide, work together to help volunteers learn and practice.

Link & Learn Taxes for 2021 includes:

- Access to all VITA/TCE courses
- Easy identification of the VITA/TCE courses with the course icons
  - As you progress through a lesson, the content for Basic, Advanced, Military, or International will display, depending on the level of certification you selected
- PowerPoint presentations that can be customized to fit your classroom needs
- VITA/TCE Central to provide centralized access for training materials and reference links
- The Practice Lab
  - Gives volunteers practice with an early version of the IRS-provided tax preparation software
  - Lets volunteers complete test practice problems
  - Lets volunteers prepare test scenario returns for the test/retest



Go to www.irs.gov, type "Link & Learn" in the Keyword field and click Search. You'll find a detailed overview and links to the courses.

FSA (Facilitated Self Assistance) empowers taxpayers to prepare their own returns with the assistance of a certified volunteer. Taxpayers complete their own returns using interview-based software supplied by leaders in the tax preparation industry. Volunteers assist taxpayers with tax law questions.

Virtual VITA/TCE model includes any site where face-to-face activities are not used during the tax preparation process. That is, the intake specialist, IRS-tax law certified preparer (who prepares the return) and/or the quality reviewer are not face-to-face with the taxpayer. By incorporating this flexibility partners can provide taxpayers with more convenient locations to file their taxes.

For more information contact your SPEC Relationship Manager to see if you should start a FSA or Virtual VITA site in your community.

www.irs.gov

Your online resource for volunteer and taxpayer assistance

Partner and Volunteer Resource Center
https://www.irs.gov/Individuals/Partner-and-Volunteer-Resource-Center

- What's Hot!
- Site Coordinator's Corner

Quality and Tax Alerts for IRS Volunteer Programs
https://www.irs.gov/individuals/quality-and-tax-alerts-for-irs-volunteer-programs

- Volunteer Tax Alerts

Volunteer Training Resources
https://www.irs.gov/Individuals/Volunteer-Training-Resources

Outreach Connection
https://www.irs.gov/Individuals/Outreach-Corner

Interactive Tax Assistant (ITA)
https://www.irs.gov/help/ita

Tax Information for Individuals
https://www.irs.gov/Individuals

Plan
- Tax Withholding (Paycheck Checkup)
- When to File
- Recordkeeping
- Choosing a Tax Professional
- Get Answers to Your Tax Questions Online
- Year-round Tax Planning is for Everyone, Publication 5349

Tools
- View Your Tax Account
- Get Your Transcript
- Where's My Refund?

Identity Theft Protections

Get Help Now

File
- IRS Free File
- How to File
- Filing Past Due Returns
- Correcting Your Tax Return
- Social Security Benefit Statement

Pay
- Tax Withholding
- Estimated Taxes
- Options for Paying Your Taxes
- How to Choose a Payment Option
- Understanding Your IRS Notice or Letter
- What to Do If You Can't Pay

eBooks
Want to view our training products on your mobile or tablet devices? Click here to access our eBooks: **https://www.irs.gov/individuals/site-coordinator-corner**

Mobile App
Another device to use for additional information is IRS2Go. Click here to download IRS2Go mobile app: **https://www.irs.gov/newsroom/irs2goapp**.

and much more!
Your direct link to tax information 24/7: **www.irs.gov**